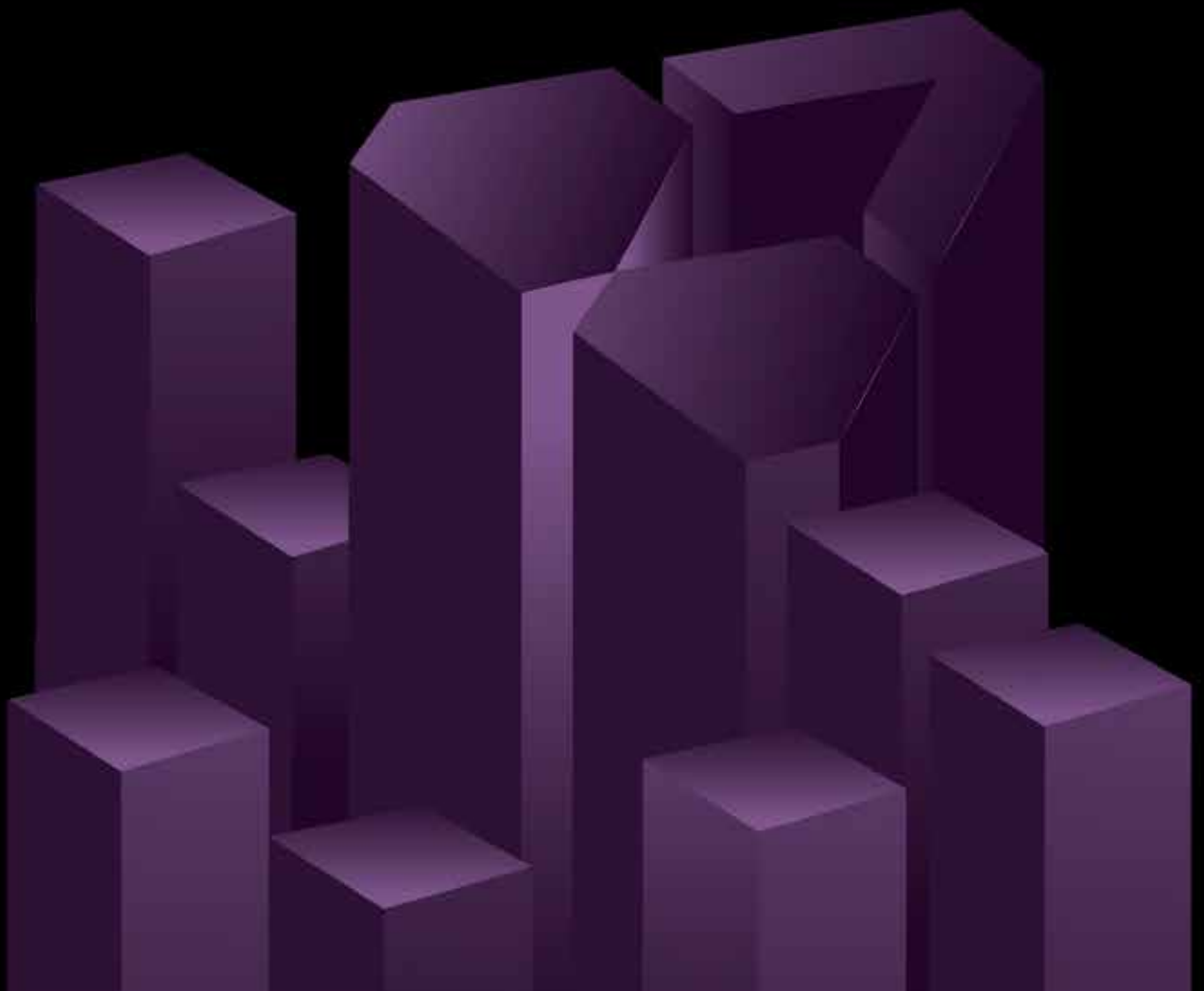




Meezan Bank
The Premier Islamic Bank

FIRST QUARTERLY REPORT

MARCH 31, 2025



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CORPORATE INFORMATION

AS OF MARCH 31, 2025

Board of Directors	Riyadh S. A. A. Edrees Bader H. A. M. A. AlRabiah Saad Ur Rahman Khan Faisal Fahad AlMuzaini Tariq Mahmood Pasha Zine Elabidine Bachiri Mohammad Abdul Aleem Nausheen Ahmad Abdulrazzaq T.A.M. Razooqi Irfan Siddiqui	Chairman Vice Chairman President & CEO (Executive Director)
Shariah Board	Justice (Retd.) Muhammad Taqi Usmani Dr. Muhammad Imran Ashraf Usmani Sheikh Esam Mohamed Ishaq Mufti Zubair Ahmed Mufti Muhammad Naveed Alam	Chairman Resident Shariah Board Member
Management	Irfan Siddiqui Syed Amir Ali	President & CEO Deputy CEO
Board Audit Committee	Mohammad Abdul Aleem Saad Ur Rahman Khan Tariq Mahmood Pasha Abdulrazzaq T.A.M. Razooqi	
Board Risk Management Committee	Saad Ur Rahman Khan Bader H. A. M. A. AlRabiah Zine Elabidine Bachiri Abdulrazzaq T.A.M. Razooqi	
Board Human Resources, Remuneration & Compensation Committee	Riyadh S. A. A. Edrees Mohammad Abdul Aleem Nausheen Ahmad	
Board Information Technology Committee	Saad Ur Rahman Khan Riyadh S. A. A. Edrees Bader H. A. M. A. AlRabiah Irfan Siddiqui	
Board IFRS 9 Committee	Riyadh S. A. A. Edrees Faisal Fahad AlMuzaini Irfan Siddiqui	
Resident Shariah Board Member	Mufti Muhammad Naveed Alam	
Chief Financial Officer	Syed Imran Ali Shah	
Company Secretary	Muhammad Sohail Khan	
Auditors	A. F. Ferguson & Co., Chartered Accountants	
Legal Adviser	Haidermota & Co. Advocates	
Registered Office and Head Office	Meezan House C-25, Estate Avenue, SITE, Karachi - 75730, Pakistan Phone: (92-21) 38103500, 37133500, Fax: (92-21) 36406056 24/7 Call Centre: (92-21) 111-331-331 & 111-331-332	
E-mail	info@meezanbank.com	
Website	www.meezanbank.com www.meezanbank.pk	
Shares Registrar	THK Associates (Pvt.) Ltd Plot No, 32-C, Jami Commercial, Street 2, DHA, Phase VII, Karachi - 75500, Pakistan Phone: (92-21) 111-000-322, 35310191-6 Email: secretariat@thk.com.pk, sfc@thk.com.pk Website: www.thk.com.pk	

الْحَمْدُ لِلَّهِ رَبِّ الْعَالَمِينَ

The Board of Directors is pleased to present the condensed interim unaudited unconsolidated and consolidated financial statements of Meezan Bank Limited for the quarter ended March 31, 2025.

Economy

Pakistan's economy has continued its steady path toward recovery, following the substantial macroeconomic headwinds faced during 2022–2024. This recovery has been underpinned by the Federal Government's prudent fiscal and monetary policies, structural reforms and targeted initiatives aimed at restoring investor and market confidence. Key measures included reforms in the energy sector to ensure long-term sustainability and efficiency. In FY2024, Pakistan's Gross Domestic Product (GDP) posted a growth of 2.4%, marking a significant rebound from a contraction of 0.2% witnessed during FY2023. This turnaround was driven by a notable recovery in industrial output, robust agricultural performance, easing inflationary pressures and a markedly improved Current Account position. Looking ahead, the economic outlook remains positive, with the State Bank of Pakistan projecting a real GDP growth of 2.5% - 3.5% for FY 2025.

Inflationary pressures, which reached historic highs in FY2023, have eased substantially. As of March 2025, Consumer Price Index (CPI) inflation stood at just 0.7%, its lowest level since December 1965. This remarkable decline in inflation has provided the State Bank of Pakistan (SBP) the space to adopt a more accommodative monetary policy stance, resulting in a cumulative reduction of 1,000 basis points in the Policy Rate — from 22% in June 2024 to 12% by January 2025. This sharp monetary easing is expected to become a catalyst for private sector credit growth and stimulate domestic investment and consumption.

Capital markets have responded positively to the improving macroeconomic indicators. The Pakistan Stock Exchange (PSX) ended CY2024 at an all-time high of 115,127 points and has continued to gain in the current year, reaching 117,807 points by March 2025 — reflecting a year-to-date increase of 2.3%. The rally has been fuelled by enhanced investor sentiment, declining interest rates, improving corporate earnings and continued progress on structural economic reforms.

Financial Year (FY2025) has seen a substantial increase in workers' remittances, which reached \$28 billion during the first nine months — representing a robust year-on-year growth of 33%. This influx has been instrumental in maintaining a current account surplus and supporting the country's external balances. Moreover, the successful negotiation of a new 37-month Extended Fund Facility (EFF) programme with the International Monetary Fund (IMF), valued at approximately \$7 billion, has further bolstered market confidence and foreign exchange reserves. Reserves stood at \$15.6 billion as of March 2025, broadly unchanged as compared to \$15.9 billion at the end of December 2024. Exchange rate stability has also improved considerably. The Pakistani Rupee (PKR) remained relatively stable, trading at Rs. 280.2 per US Dollar in March 2025, compared to Rs. 278.6 at year-end 2024 — reflecting a controlled and orderly adjustment, supported by sound policy measures and improved external financing flows.

Overall, the macroeconomic outlook for Pakistan appears increasingly optimistic. Declining inflation, lower interest rates, strengthening foreign exchange reserves and the elimination of the current account deficit all point toward a favourable growth environment. The renewed IMF programme is expected to anchor investor confidence, enhance external buffers and support continued policy reforms; however, risks remain. The economy is still susceptible to global developments, including commodity price volatility, geopolitical tensions and shifting trade dynamics. In particular, the recent imposition of tariffs by the United States on certain trading partners — including Pakistan — could dampen export prospects and weigh on external sector performance. Moreover, the successful implementation of ongoing structural reforms would be critical to sustaining long-term growth and macroeconomic stability.

Financial Highlights

With the blessings of Allah, Meezan Bank achieved strong results for the first quarter of 2025. Profit after Tax was Rs 22.0 billion as compared to Rs 24.9 billion in the corresponding quarter last year,

D I R E C T O R S ' R E V I E W

which is a decrease of 12% mainly on account of significantly lower policy rate and higher tax regime. The Basic Earnings per Share clocked in at Rs 12.28 per share in March 2025 compared to Rs 13.92 per share - a year ago. The Bank's Return on Equity (ROE) is reported at 36.2% while Return on Assets (ROA) is 2.3% for Q1'25. Alhamdulillah, we have consistently maintained ROE above the banking industry average in line with our focus on value creation for our shareholders. Our steady growth in profitability coupled with prudent approach of striking a balance between dividend pay-outs and profit retention has led to strong internal capital generation, boasting a Capital Adequacy Ratio (CAR) of 20% plus.

We are pleased to announce that the Board has approved an interim cash dividend of Rs 7.00 (70%) for the first quarter ended on March 31, 2025. We take pride in our longstanding tradition of consistently paying dividends every year since our listing on the Pakistan Stock Exchange. Meezan maintained its position as the second most valuable bank in Pakistan with a market capitalisation of \$ 1.58 billion, closing the quarter at Rs 444 billion, which underscores the investors' confidence in the Bank's management team, performance and growth prospects. Below are the financial highlights of Meezan Bank:

Rupees in millions

Profit & Loss Account	Jan - Mar 2025	Jan - Mar 2024	Growth %
Profit / return earned on financing, investments and placements	107,617	119,205	(10%)
Profit on deposits and other dues expensed	(45,826)	(51,944)	(12%)
Net spread earned	61,790	67,261	(8%)
Fee, commission and other non -funded income	8,178	6,358	29%
Operating income	69,968	73,619	(5%)
Operating and other expenses	(19,631)	(21,208)	(7%)
Profit before credit loss allowance / provisions	50,337	52,411	(4%)
Credit loss allowance and write offs - net	(1,858)	(263)	(607%)
Profit before tax	48,479	52,148	(7%)
Taxation	(26,431)	(27,205)	(3%)
Profit after tax	22,048	24,943	(12%)
Basic Earnings per share - Rupees	12.28	13.92	(12%)
Number of branches	1,052	1,007	4%

Rupees in millions

Statement of Financial Position	March 31, 2025	December 31, 2024	Growth %
Total Assets	4,026,413	3,900,411	3%
Investments	2,050,139	1,870,536	10%
Islamic financing and related assets - Gross	1,443,544	1,556,362	(7%)
Deposits	2,880,268	2,584,871	11%
ADR (Gross Advances to Deposits)- %	50.1%	60.2%	(10%)
Equity	247,367	246,984	0%

Returns from financing, investments and placements experienced a decrease, reaching Rs 108 billion compared to Rs 119 billion in the corresponding period of the previous year on account of the lower policy rates prevailing in the country. Throughout the quarter, the Policy Rate averaged at 12.3% compared to 22% in March 2024, representing a significant decrease of 966 basis points. Returns on deposits and other dues expensed, likewise, decreased to Rs 45.8 billion from Rs 51.9

DIRECTORS' REVIEW

billion in March 2024, a decrease of 12%. The average OMO and window borrowings increased from Rs 138 billion in March 2024 to Rs 471 billion in the current quarter. The return on deposits during the similar period decreased from Rs 36.5 billion to Rs 26.3 billion reflecting a decline of 28%, primarily attributable to a sharp decline in average policy rate. However, this decline has been partially offset due to Minimum Deposit Rates (MDR) being applicable on Islamic Banks from 1st January 2025 onwards. On an overall basis, our net spread decreased to Rs 62 billion from Rs 67 billion in corresponding period last year, reflecting a decline of 8%.

Fee, commission and other income demonstrated strong growth, increasing by 29% to reach Rs 8.2 billion from Rs 6.4 billion in March 2024. Core fee and commission income posted a rise of 10% clocking in at Rs 5.5 billion with key contributors being debit card, branch banking and trade related income. In March 2025, our debit card portfolio reached 3.9 million, marking a 16% growth from 3.4 million in March 2024. This increase was further bolstered by a substantial rise in new card issuances, which climbed from 246,533 in Q1'24 to 319,505 in Q1'25, reflecting a year-on-year growth of 30%. In addition to portfolio expansion, card spending showed impressive growth, rising from Rs 70 billion in Q1'24 to Rs 95 billion in Q1'25, a 35% increase. A notable achievement was recorded in March 2025, when we reached the highest-ever monthly card spend of Rs 35 billion, highlighting the strong confidence and continued engagement of our customers. Foreign exchange income depicted a substantial growth over the corresponding period last year to reach Rs 1.6 billion compared to Rs 478 million in Q1'24, mainly due to better trade flows.

Operating and other expenses decreased from Rs 21.2 billion to Rs 19.6 billion with the cost to income ratio measuring at 28% in Q1'25 versus 29% in Q1'24. We remain steadfast in our commitment to cost rationalization and process automation strategies to attain a more efficient and streamlined operating cycle.

Total assets have reached a milestone of Rs 4 trillion as of March 2025 which is an increase of 3% over December 2024. Investments portfolio expanded by 10% compared to the previous year, reaching Rs 2.05 trillion. This expansion can be directly attributed to the regular Sukuk auctions by the Government of Pakistan which has eased liquidity management challenges historically faced by Islamic Banking Industry (IBI). Gross financing portfolio decreased by 7% from Rs 1.56 trillion as at December 2024 to Rs 1.44 trillion at the end of the current quarter, translating into an Advances to Deposits Ratio (ADR) of over 50%.

Meezan Bank continues to uphold exemplary asset quality, surpassing industry standards with a non-performing financing ratio at 2.1%. Meezan maintains a comfortable level of provisions against our non-performing financings translating into a coverage ratio of more than 140%.

Deposits portfolio increased by 11% over December 2024 to reach Rs 2.88 trillion as at the quarter-end. Current Account (CA) deposits constitute nearly half of the deposit book, amounting to Rs 1.41 trillion while Current and Savings Account (CASA) deposits represent 93% of the total deposit book amounting to Rs 2.68 trillion. Meezan Bank's Roshan Digital Account (RDA) continues to experience strong growth, further reinforcing its leadership position in the industry. As of March 2025, total inflows have exceeded USD 2.75 billion, representing 27% of the total industry inflows. With more than 127,000 active Meezan RDA accounts, the bank is providing seamless banking services to members of the Pakistani diaspora across over 145 countries worldwide. This growth is driven by the convenience and accessibility of digital banking services for Pakistanis living abroad, enabling them to efficiently manage their finances, make investments, and contribute to the economy back home.

Meezan Bank has been steadfast in its digital transformation strategy, aiming to enhance customer experiences and streamline back-office operations. Embracing a hybrid growth model, we have expanded our physical presence in underserved regions of the country while simultaneously onboarding customers digitally. Strategically dispersed across the nation, our branch network comprises of 1,052 branches across 351 cities, whereas our ATM network has grown to over 1,200 touchpoints nationwide.

DIRECTORS' REVIEW

The VIS Credit Rating Company Limited has reaffirmed Meezan with highest possible credit rating - 'AAA' (Triple A) rating for the Long Term and an 'A1+' (A-One Plus) rating for the Short Term, maintaining a stable outlook.

Outlook

Meezan Bank remains dedicated to supporting the economic growth and stability of our nation by advancing the Islamic Banking Industry. We are fully aligned with the Government's strategic focus on Islamic Finance, in line with the Honourable Federal Shariat Court's (FSC) directive to transition the economy to a Shariah-compliant financial system. Our strategy emphasizes balanced growth, sector diversification and surpassing regulatory stability benchmarks. We are expanding our presence through both physical and digital channels, with a strong emphasis on delivering exceptional digital services to maintain our leadership in the industry.

This year has presented new challenges that the Bank is actively working to overcome, including the effects of a lower policy rate, the imposition of a Minimum Deposit Rate (MDR) on Savings Deposits, and a high tax regime. The Bank is focusing on growing its core CASA deposits to mitigate the effects of these headwinds.

We express our sincere gratitude to the State Bank of Pakistan, the Ministry of Finance and the Securities and Exchange Commission of Pakistan for their steadfast commitment to establishing a sustainable Islamic financial system in the country. Our significant achievements would not have been possible without the proactive support of our diverse customer base, to whom we are deeply grateful. We also extend our heartfelt thanks to the Board of Directors, members of the Shariah Board, our shareholders, and holders of Additional Tier I Sukuk and Subordinated Sukuk (Tier II) for their unwavering patronage, which has been instrumental in establishing Meezan Bank as the leading Islamic Bank in the country.

We extend our heartfelt appreciation to every member of our dedicated team for their hard work and unwavering commitment to advancing the mission of Islamic Banking. Above all, we humbly acknowledge and express our gratitude to Allah Almighty for His constant blessings upon our Bank and each one of us, which have made notable achievements possible in such a short time. We seek His continued support, praying that He grants us the strength and wisdom to further our vision of establishing "Islamic banking as the banking of first choice."

On behalf of the Board

Riyadh S.A.A. Edrees
Chairman

Irfan Siddiqui
President & CEO

Karachi:
April 21, 2025

ڈائریکٹرز کا تجزیہ

الحمد لله رب العالمین

بورڈ آف ڈائریکٹرز کی جانب سے 31 مارچ 2025 کو مکمل ہونے والی سہ ماہی کے لیے میزان بینک کے تفصیلی مالیاتی نتائج پر مبنی مختصر عبوری غیر آڈٹ شدہ غیر مجتمع اور مجتمع مالیاتی گوشوارے پیش کرنا ہمارے لیے باعث مسرت ہے۔

معیشت

پاکستان کی معیشت بحالی کے سفر پر گامزن ہے، جس کی رفتار تسلسل کے ساتھ بہتر ہو رہی ہے، حالانکہ 2022 سے 2024 کے دوران سنگین معاشی چیلنجز کا سامنا رہا ہے۔ اس بحالی میں بنیادی کردار وفاقی حکومت کی مدبرانہ مالیاتی وزری پالیسیاں، ساختی اصلاحات اور وہ مخصوص اقدامات رہے، جو سرمایہ کاروں اور مارکیٹ کا اعتماد بحال کرنے کے لیے کیے گئے۔ اہم اقدامات میں توانائی کے شعبے میں اصلاحات شامل تھیں، تاکہ دیر پا استحکام اور مؤثر کارکردگی یقینی بنائی جاسکے۔ مالی سال 2024 میں پاکستان کی مجموعی قومی پیداوار (جی ڈی پی) میں 2.4 فیصد اضافہ ریکارڈ کیا گیا، جو مالی سال 2023 میں 0.2 فیصد کی کمی کے بعد ایک قابل ذکر بحالی ہے۔ اس تبدیلی کا محرک صنعتی پیداوار کی بحالی، زرعی شعبے کی مستحکم کارکردگی، مہنگائی میں کمی اور کرنٹ اکاؤنٹ میں نمایاں بہتری جیسے عوامل رہے۔ مستقبل کا منظر نامہ دیکھتے ہوئے، اقتصادی صورت حال امید افزا نظر آتی ہے، جہاں اسٹیٹ بینک آف پاکستان نے مالی سال 2025 کے لیے حقیقی جی ڈی پی میں 2.5 فیصد سے 3.5 فیصد تک نمو کی پیش گوئی کی ہے۔

افراط زر کے دباؤ میں، جو مالی سال 2023 میں تاریخی سطح پر پہنچ گیا تھا، نمایاں طور پر کمی آچکی ہے۔ مارچ 2025 تک کزنومر پرائس انڈیکس (CPI) کی بنیاد پر افراط زر محض 0.7 فیصد رہا، جو دسمبر 1965 کے بعد سب سے کم سطح ہے۔ اس قابل ذکر کمی نے اسٹیٹ بینک آف پاکستان (SBP) کو زیادہ مزاحمتی پالیسی اپنانے کی گنجائش فراہم کی، جس کے نتیجے میں پالیسی ریٹ میں مجموعی طور پر 1,000 بنیادی پوائنٹس کی کمی واقع ہوئی جون 2024 میں 22 فیصد سے جنوری 2025 تک 12 فیصد پر آگیا۔ اس نمایاں مالیاتی نرمی سے نجی شعبے کے قرضوں میں نمو اور ملکی سرمایہ کاری اور کھپت میں اضافہ متوقع ہے۔

کمپیٹل مارکیٹس نے بہتر ہوتے ہوئے معاشی اشاریوں پر مثبت رد عمل دیا ہے۔ پاکستان اسٹاک ایکسچینج (PSX) نے کیلنڈر سال 2024 اختتام تاریخی بلند ترین سطح 115,127 پوائنٹس پر کیا، اور رواں سال بھی مسلسل بہتری کی طرف گامزن ہے، جو مارچ 2025 تک 117,807 پوائنٹس تک پہنچ چکا ہے جو اب تک سال بہ سال بنیاد پر 2.3 فیصد اضافہ بنتا ہے۔ اس تیزی کی بنیادی وجوہات میں سرمایہ کاروں کا بڑھتا ہوا اعتماد، شرح سود میں کمی، کارپوریٹ منافع میں بہتری اور ساختی معاشی اصلاحات کی مسلسل پیش رفت شامل ہیں۔

مالی سال 2025 میں بیرون ملک مقیم پاکستانیوں کی ترسیلات زر میں نمایاں اضافہ ہوا، جو ابتدائی نو ماہ میں 28 بلین ڈالر تک پہنچ گئیں، جو سال بہ سال بنیاد پر 33 فیصد کی متاثر کن نمو ظاہر کرتا ہے۔ اس آمدنی نے کرنٹ اکاؤنٹ میں اضافی بچت برقرار رکھنے اور ملک کے بیرونی مالیاتی استحکام میں کلیدی کردار ادا کیا۔ مزید برآں، بین الاقوامی مالیاتی فنڈ (IMF) کے ساتھ 37 ماہ کی نئی توسیعی فنڈ سہولت (EFF) کے کامیاب معاہدے نے، جس کی مالیت تقریباً 7 بلین ڈالر ہے، مارکیٹ کا اعتماد اور زرمبادلہ کے ذخائر مزید مستحکم کر دیے۔ مارچ 2025 تک ذخائر 15.6 بلین ڈالر رہے، جو دسمبر 2024 کے اختتام پر 15.9 بلین ڈالر کے قریب تھے۔ زرمبادلہ کی شرح میں بھی نمایاں بہتری آئی ہے۔ پاکستانی روپیہ (PKR) نسبتاً مستحکم رہا، جو مارچ 2025 میں 280.2 روپے فی امریکی ڈالر کے نرخ پر ٹریڈ ہو رہا تھا، جبکہ 2024 کے اختتام پر یہ 278.6 روپے پر تھا، یہ ایک منظم اور متوازن ایڈجسٹمنٹ کی عکاسی کرتا ہے، جسے مؤثر پالیسی اقدامات اور زرمبادلہ کی آمد میں بہتری کی معاونت حاصل رہی۔

مجموعی طور پر، پاکستان کی معاشی تصویر مزید امید افزا دکھائی دیتی ہے۔ گرتا ہوا افراط زر، کم شرح سود، زرمبادلہ کے مستحکم ذخائر اور کرنٹ اکاؤنٹ خسارے کا خاتمہ ایک خوشگوار ترقیاتی ماحول کی جانب اشارہ کر رہا ہے۔ آئی ایم ایف کا نیا پروگرام سرمایہ کاروں کا اعتماد مستحکم کرنے، بیرونی مالی وسائل مضبوط کرنے اور پالیسی اصلاحات کے تسلسل میں معاون ثابت ہوگا، تاہم، چند خدشات برقرار ہیں۔ معیشت اب بھی عالمی حالات جیسے کہ اجناس کی قیمتوں میں اتار چڑھاؤ، جغرافیائی سیاسی کشیدگی اور تجارتی رجحانات میں تبدیلیوں کے اثرات کا شکار ہو سکتی ہے۔ خاص طور پر، امریکہ کی جانب سے بعض تجارتی شراکت داروں، بشمول پاکستان، پر نئے ٹریف کے نفاذ سے برآمدات کے امکانات متاثر ہو سکتے ہیں، جو بیرونی مالیاتی کارکردگی پر دباؤ ڈال سکتا ہے۔ مزید برآں، جاری ساختی اصلاحات کے مؤثر نفاذ کو یقینی بنانا، دیرپا ترقی اور مالیاتی استحکام کے لیے ناگزیر ہوگا۔

مالیاتی نکات

میزان بینک نے اللہ سبحانہ تعالیٰ کے فضل و کرم سے مالی سال 2025 کی پہلی سہ ماہی میں، شاندار مالیاتی نتائج حاصل کیے۔ بعد از ٹیکس منافع 22.0 بلین روپے رہا، جو گزشتہ سال کی اسی مدت میں 24.9 بلین روپے تھا۔ یعنی 12 فیصد کمی ہوئی، جس کی بنیادی وجوہات نمایاں طور پر کم پالیسی ریٹ اور ٹیکس کا سخت نظام رہے۔ مارچ 2025 میں بینک کی بنیادی فی شیئر آمدنی 12.28 روپے رہی، جو ایک سال قبل 13.92 روپے تھی۔ میزان بینک کا ریٹرن آن ایکویٹی (ROE) 36.2 فیصد جبکہ ریٹرن آن اسیٹس (ROA) 2.3 فیصد رپورٹ کیا گیا۔ الحمد للہ، ہم مسلسل بینکنگ انڈسٹری کے اوسط ROE سے بلند سطح برقرار رکھے ہوئے ہیں، جس سے ہمارے شیئر ہولڈرز کے لیے قدر میں اضافہ ہوتا ہے۔ ہمارے منافع میں تسلسل کے ساتھ ہونے والی ترقی اور دانشمندانہ حکمت عملی نے، جس میں ڈیویڈنڈ ادائیگی اور منافع محفوظ رکھنے کا متوازن طریقہ شامل ہے، اندرونی سرمایہ سازی مضبوط کی، جس کا نتیجہ 20 فیصد سے زائد کیپٹل ایڈیلیٹنس ریٹ (CAR) میں ظاہر ہوتا ہے۔

بینک کے بورڈ نے 31 مارچ 2025 کو ختم ہونے والی سہ ماہی کے لیے 7.00 روپے (70%) کے عبوری کیش ڈیویڈنڈ کی منظوری دے دی ہے۔ ہم اس روایت پر فخر محسوس کرتے ہیں کہ ہم پاکستان اسٹاک ایکسچینج میں لسٹنگ کے بعد ہر سال مستقل طور پر ڈیویڈنڈ ادا کرتے رہے ہیں۔ میزان بینک نے پاکستان میں دوسرے سب سے بیش قدر بینک کا مقام برقرار رکھا، جس کی مارکیٹ کیپیٹلائزیشن 1.58 بلین ڈالر رہی، اور سہ ماہی کے اختتام پر 444 بلین روپے پر بند ہوئی، جو بینک کی انتظامیہ، کارکردگی اور ترقی کے امکانات پر سرمایہ کاروں کے بھرپور اعتماد کی عکاسی کرتی ہے۔

میزان بینک کے مالیاتی نکات درج ذیل ہیں :

نفع و نقصان کھاتہ	جنوری تا مارچ 2025	جنوری تا مارچ 2024	اضافہ کی شرح %
فنانسنگ، سرمایہ کاری اور Placements پر منافع	107,617	119,205	(10%)
جمع شدہ رقوم اور دیگر واجبات پر منافع	(45,826)	(51,944)	(12%)
خالص آمدنی	61,790	67,261	(8%)
فیس، کمیشن اور دیگر ننان۔ فنڈڈ آمدنی	8,178	6,358	29%
انتظامی آمدنی	69,968	73,619	(5%)
انتظامی اور دیگر اخراجات	(19,631)	(21,208)	(7%)
پروویژنز سے پہلے منافع	50,337	52,411	(4%)
قرضوں پر ممکنہ نقصان کی مد میں تخفیف رقوم	(1,858)	(263)	(607%)
قبل از ٹیکس منافع	48,479	52,148	(7%)
ٹیکس	(26,431)	(27,205)	(3%)
بعد از ٹیکس منافع	22,048	24,943	(12%)
فی حصص آمدنی۔ روپے میں۔	12.28	13.92	(12%)
برانچوں کی تعداد	1,052	1,007	4%

مالیاتی حیثیت کا جائزہ	31 مارچ، 2025	31 دسمبر، 2024	اضافہ کی شرح %
کل اثاثے	4,026,413	3,900,411	3%
سرمایہ کاریاں	2,050,139	1,870,536	10%
اسلامی فنانسنگ اور متعلقہ اثاثے۔ مجموعی	1,443,544	1,556,362	(7%)
جمع شدہ رقوم	2,880,268	2,584,871	11%
اے ڈی آر (Gross advances to deposits)۔ فیصد	50.1%	60.2%	(10%)
ایکویٹی	247,367	246,984	0%

فنانسنگ، سرمایہ کاری اور پبلیمینٹس سے حاصل ہونے والے منافع میں کمی دیکھنے میں آئی، جو 108 بلین روپے تک پہنچ گیا، جبکہ گزشتہ سال کی اسی مدت میں یہ 119 بلین روپے تھا۔ اس کی بنیادی وجہ ملک میں کم پالیسی ریٹ کا رجحان رہا۔ سرمایہ کی ریٹ 12.3 فیصد رہا، جو مارچ 2024 میں 22 فیصد تھا یعنی 966 بنیادی پوائنٹس کی نمایاں کمی آئی۔ اسی طرح، ڈپازٹس اور دیگر واجبات پر منافع 45.8 بلین روپے تک کم ہو گیا، جو مارچ 2024 میں 51.9 بلین روپے تھا یعنی 12 فیصد کمی ہوئی۔ اوپن مارکیٹ آپریشنز (OMO) اور قلیل مدتی قرضوں میں نمایاں اضافہ ہوا، جو مارچ 2024 میں 138 بلین روپے تھا اور رواں سرمایہ میں 471 بلین روپے تک پہنچ گیا۔ اسی مدت میں ڈپازٹس پر منافع 36.5 بلین روپے سے کم ہو کر 26.3 بلین روپے رہ گیا، جس میں 28 فیصد کمی واقع ہوئی اس کی بنیادی وجہ اوسط پالیسی ریٹ میں نمایاں کمی رہی۔ تاہم، اسلامی بینکوں پر یکم جنوری 2025 سے کم از کم ڈپازٹ ریٹ (MDR) کے اطلاق کے باعث اس کی جزوی طور پر کمی حد تک تلافی ہو گئی۔ مجموعی طور پر، ہمارا خالص منافع 67 بلین روپے سے کم ہو کر 62 بلین روپے تک آ گیا، جو گزشتہ سال کی اسی مدت کے مقابلے میں 8 فیصد کمی کی عکاسی کرتا ہے۔

فیس، کمیشن اور دیگر آمدنی میں نمایاں اضافہ دیکھنے میں آیا، جو 29 فیصد اضافے کے ساتھ 8.2 بلین روپے تک پہنچ گئی، جبکہ مارچ 2024 میں یہ 6.4 بلین روپے تھی۔ بنیادی فیس اور کمیشن آمدنی 10 فیصد اضافے کے ساتھ 5.5 بلین روپے تک پہنچ گئی، جس میں اہم عوامل ڈیٹ کارڈ، برانچ بینکنگ اور تجارتی لین دین سے حاصل ہونے والی آمدنی رہے۔ مارچ 2025 میں ہمارا ڈیٹ کارڈ پورٹ فولیو 3.9 بلین تک پہنچ گیا، جو مارچ 2024 میں 3.4 بلین تھا یعنی 16 فیصد اضافہ ہوا۔ یہ نمونے کارڈز کے اجراء میں نمایاں اضافے کی بدولت ممکن ہوئی، جو 2024 کی پہلی سرمایہ کے 246,533 سے بڑھ کر 2025 کی پہلی سرمایہ میں 319,505 تک پہنچ گئے جو سال بہ سال بنیاد پر 30 فیصد نمو کی نشان دہی کرتی ہے۔ پورٹ فولیو کے حجم میں اضافے کے ساتھ ساتھ ڈیٹ کارڈ کے ذریعے خرچ کی گئی رقم میں بھی متاثر کن نمو دیکھی گئی، جو 2024 کی پہلی سرمایہ کے 70 بلین روپے سے بڑھ کر 2025 کی پہلی سرمایہ میں 95 بلین روپے تک پہنچ گئی یعنی 35 فیصد اضافہ ہوا۔ مارچ 2025 میں ایک نمایاں سنگ میل حاصل ہوا، جب کارڈ کے ذریعے ماہانہ خرچ کی گئی رقم بلند ترین سطح 35 بلین روپے تک پہنچ گئی جو صارفین کے بڑھتے ہوئے اعتماد اور مسلسل وابستگی کا اظہار ہے۔ مزید برآں، زرمبادلہ سے حاصل ہونے والی آمدنی میں نمایاں بہتری آئی، جو گزشتہ سال کی اسی مدت کے مقابلے میں 1.6 بلین روپے تک پہنچ گئی، جبکہ 2024 کی پہلی سرمایہ میں یہ 478 بلین روپے تھی اس بہتری کی بنیادی وجہ تجارتی لین دین میں اضافہ رہا۔

آپریٹنگ اور دیگر اخراجات 21.2 بلین روپے سے کم ہو کر 19.6 بلین روپے رہ گئے، جبکہ 2025 کی پہلی سرمایہ میں آمدنی کے مقابل اخراجات کا تناسب 28 فیصد رہا، جو 2024 کی پہلی سرمایہ میں 29 فیصد تھا۔ ہم اخراجات کو متوازن رکھنے اور عملی خود کار نظام کے ذریعے زیادہ مؤثر اور مربوط آپریٹنگ سائیکل کے حصول کے لیے پرعزم ہیں۔

کل اثاثہ جات مارچ 2025 تک 4 ٹریلین روپے کی سطح پر پہنچ گئے، جو دسمبر 2024 کے مقابلے میں 3 فیصد اضافہ ظاہر کرتے ہیں۔ سرمایہ کاری کا پورٹ فولیو گزشتہ سال کے مقابلے میں 10 فیصد بڑھ کر 2.05 ٹریلین روپے تک پہنچ گیا۔ اس توسیع کی بنیادی وجہ حکومت پاکستان کی جانب سے تسلسل کے ساتھ صکوک کی نیلای رہی، جس نے اسلامی بینکاری صنعت (IBI) کو درپیش لیکویڈیٹی منجمنٹ کے مسائل کم کرنے میں مدد دی۔ کل فنانسنگ پورٹ فولیو دسمبر 2024 میں 1.56 ٹریلین روپے تھا، جو 7 فیصد کمی کے بعد 2025 کی پہلی سرمایہ میں 1.44 ٹریلین روپے پر آ گیا۔ اس کا نتیجہ ڈپازٹس کے مقابل قرضہ جات کی شرح (ADR) 50 فیصد سے زائد ہونے کی صورت میں نکلا۔

میزان بینک اثاثہ جات کا مثالی اعلیٰ معیار برقرار رکھے ہوئے ہے اور غیر فعال قرضوں کی 2.1 فیصد شرح کے ساتھ انڈسٹری کے معیارات سے بہتر سطح پر موجود ہے۔ میزان بینک کے غیر فعال قرضوں کے مقابل مختص احتیاطی رقوم (Provisions) کی سطح اطمینان بخش ہے، جس کی شرح تحفظ 140 فیصد سے زائد ہے۔

ڈپازٹس پورٹ فولیو دسمبر 2024 کے مقابلے میں 11 فیصد اضافہ کے بعد 2025 کی پہلی سرمایہ میں 2.88 ٹریلین روپے تک پہنچ گیا۔ کرنٹ اکاؤنٹ (CA) ڈپازٹس مجموعی ڈپازٹ بک کا تقریباً نصف بنتے ہیں، جو 1.41 ٹریلین روپے پر مشتمل ہے۔ اسی طرح کرنٹ اور سیونگز اکاؤنٹ (CASA) ڈپازٹس مجموعی ڈپازٹ بک کا 93 فیصد ہیں، جو 2.68 ٹریلین روپے تک پہنچ گئے۔ میزان بینک کا روشن ڈیجیٹل اکاؤنٹ (RDA) نمو کا مستحکم رجحان برقرار رکھے ہوئے ہے، جو انڈسٹری میں اس کی قیادت مزید مستحکم کر رہا ہے۔ مارچ 2025 تک کل ترسیلات زر 2.75 بلین امریکی ڈالر سے تجاوز کر چکی ہیں، جو انڈسٹری کی مجموعی ترسیلات زر کا 27 فیصد بنتی ہیں۔ 127,000 سے زائد فعال میزان RDA اکاؤنٹس کے ساتھ، بینک 145 سے زائد ملک میں پاکستانیوں کو بینکاری کی سہولت خدمات فراہم کر رہا ہے۔ اس نمو کی وجہ ڈیجیٹل بینکاری خدمات کی سہولت اور رسائی ہے، جس کے ذریعے بیرون ملک مقیم پاکستانی اپنے سرمایہ جات مؤثر انداز میں سنبھالنے، سرمایہ کاری کرنے اور ملکی معیشت میں کردار ادا کرنے کے قابل ہو رہے ہیں۔

میزان بینک ڈیجیٹل تبدیلی کی حکمت عملی پر مستقل مزاجی سے کاربند ہے، جس کا مقصد صارفین کا بینکاری کا تجربہ بہتر بنانا اور بینک آفس آپریشنز مؤثر انداز میں چلانا ہے۔ ایک ہائپر ڈیجیٹل ماڈل اپناتے ہوئے، ہم نے ملک کے کم ترقی یافتہ علاقوں میں اپنی میدانی موجودگی کو وسعت دی ہے، جبکہ ساتھ ہی ساتھ ڈیجیٹل طور پر صارفین کو شامل کیا جا رہا ہے۔ بینک کی شاخوں کا ملکی سطح پر حکمت عملی کے تحت پھیلاؤ جاری ہے، جہاں میزان بینک کا برانچ نیٹ ورک 351 شہروں میں 1,052 شاخوں پر مشتمل ہے، جبکہ اے ٹی ایم نیٹ ورک بھی 1,200 سے زائد پوائنٹس تک بڑھ چکا ہے۔

VIS کریڈٹ ریٹنگ کمپنی لیڈ نے میزان بینک کی طویل مدتی کریڈٹ ریٹنگ ('AAA' ٹریپل اے) (اور مختصر مدتی ریٹنگ) 'A1+' اے ون پلس) برقرار رکھی ہے، جو بینک کی مستحکم مالی حیثیت ظاہر کرتی ہے۔

مستقبل کے آثار اور حکمت عملی

میزان بینک اسلامی بینکاری صنعت کی ترقی کے ذریعے ہمارے ملک کی معاشی ترقی اور استحکام کو فروغ دینے کے عزم پر قائم ہے۔ ہم حکومت کی اسلامی فنانس پر اسٹریٹجک توجہ کے ساتھ ہم آہنگ ہیں، جو عالی مرتبت وفاقی شرعی عدالت (FSC) کی ہدایت کے مطابق معیشت کو شرعی اصولوں پر منتقل کرنے کے لیے دی گئی ہے۔ ہماری حکمت عملی متوازن ترقی، شعبوں میں تنوع، اور ریگولیٹری استحکام کے معیارات سے آگے بڑھ جانے کو ترجیح دیتی ہے۔ ہم فزیکل اور ڈیجیٹل دونوں چینلز کے ذریعے اپنی موجودگی بڑھا رہے ہیں، جبکہ صنعت میں اپنی قیادت برقرار رکھنے کے لیے بہترین ڈیجیٹل خدمات فراہم کرنے پر خصوصی توجہ مرکوز کی گئی ہے۔

اس سال بینک کو کئی نئے چیلنجوں کا سامنا کرنا پڑا، جنہیں مؤثر حکمت عملی کے ذریعے حل کرنے پر کام جاری ہے۔ ان چیلنجوں میں کم پالیسی ریٹ کے اثرات، سیونگنز پائزس پر کم از کم ڈپازٹ ریٹ (MDR) کا نفاذ، اور سخت ٹیکس نظام شامل ہیں۔ بینک ان رکاوٹوں کے اثرات کم کرنے کے لیے بنیادی CASA ڈپازٹس میں اضافہ پر توجہ مرکوز کر رہا ہے، تاکہ مالیاتی استحکام برقرار رکھا جاسکے اور مستقبل کی ترقی کی راہ ہموار ہو۔

ہم اسٹیٹ بینک آف پاکستان، وزارت خزانہ اور سیکیورٹیز اینڈ ایکسچینج کمیشن آف پاکستان کو ملک میں ایک مستحکم اسلامی مالیاتی نظام کے قیام کے لیے کی گئی ان کی مسلسل کوششوں اور وابستگی کے لیے خراج تحسین پیش کرتا ہے۔ میزان بینک کی امتیازی کامیابیاں ہمارے متنوع صارفین کے فعال تعاون کے بغیر ممکن نہیں ہو سکتی تھیں، جس کے لیے ہم ان کے ممنون احسان ہیں۔ ہم اپنے بورڈ آف ڈائریکٹرز، شریعہ بورڈ کے ممبران، ہمارے حصص یافتگان، اضافی Tier I صکوک اور ثانوی صکوک (Tier II) کو خراج تحسین پیش کرتے ہوئے ان کی معاونت کے لیے اظہار تشکر کرتے ہیں جنہوں نے میزان بینک کو ملک کا اولین اور ممتاز ترین بینک کے لیے مسلسل سرپرستی کی ہے۔

ہم اپنی محنتی اور مخلص ٹیم کے ہر رکن کا تہ دل سے شکریہ ادا کرتے ہیں، جنہوں نے اسلامی بینکاری کا مشن آگے بڑھانے میں بھرپور محنت اور غیر متزلزل عزم کا مظاہرہ کیا۔ سب سے بڑھ کر ہم اللہ سبحانہ و تعالیٰ کے شکر گزار ہیں کہ اس کی مسلسل رحمت کے باعث ہم اس قلیل عرصے میں اتنی شان دار کامیابیوں کے حصول کے قابل ہو سکے ہیں اور ہم دعا گو ہیں کہ اللہ سبحانہ و تعالیٰ ہمیں حوصلہ اور دانائی عطا کرے کہ ہم اسلامی بینکاری کو بینکاری کا پہلا انتخاب بنانے کا اپنا خواب تعبیر کی بلند یوں تک پہنچا سکیں۔ آمین

(مختار بورڈ)

عرفان صدیقی
صدر اور CEO

ریاض الیس اے۔ اے۔ اور لیس
چیئر مین

کراچی:

21 اپریل، 2025

CONDENSED INTERIM UNCONSOLIDATED**STATEMENT OF FINANCIAL POSITION (UNAUDITED)****AS AT MARCH 31, 2025**

	Note	March 31, 2025 (Unaudited)	December 31, 2024 (Audited)
ASSETS			
Rupees in '000			
Cash and balances with treasury banks	6	258,906,808	260,734,258
Balances with other banks	7	11,439,091	13,424,950
Due from financial institutions	8	36,464,297	34,964,299
Investments	9	2,050,138,755	1,870,535,620
Islamic financing and related assets	10	1,400,324,981	1,514,755,936
Property and equipment	11	47,594,178	46,847,734
Right-of-use assets	12	20,829,579	21,230,197
Intangible assets	13	2,889,072	2,896,880
Deferred tax asset		-	-
Other assets	14	197,825,901	135,021,456
Total Assets		4,026,412,662	3,900,411,330
LIABILITIES			
Bills payable	15	50,155,739	112,605,407
Due to financial institutions	16	611,209,160	722,286,318
Deposits and other accounts	17	2,880,267,566	2,584,871,300
Lease liability against right-of-use assets	18	26,000,941	25,848,322
Sub-ordinated sukuk	19	20,990,000	20,990,000
Deferred tax liabilities	20	1,888,884	14,211,335
Other liabilities	21	188,533,810	172,614,356
Total Liabilities		3,779,046,100	3,653,427,038
NET ASSETS		247,366,562	246,984,292
REPRESENTED BY			
Share capital		17,947,407	17,947,407
Reserves		50,364,326	48,002,267
Surplus on revaluation of assets - net of tax	22	12,662,937	22,141,192
Unappropriated profit		166,391,892	158,893,426
		247,366,562	246,984,292
CONTINGENCIES AND COMMITMENTS	23		

The annexed notes 1 to 42 form an integral part of this condensed interim unconsolidated financial information.

Riyadh S. A. A. Edrees
Chairman

Irfan Siddiqui
President & Chief Executive

Mohammad Abdul Aleem
Director

Tariq Mahmood Pasha
Director

Syed Imran Ali Shah
Chief Financial Officer

CONDENSED INTERIM UNCONSOLIDATED

STATEMENT OF PROFIT AND LOSS ACCOUNT (UNAUDITED) FOR THE QUARTER ENDED MARCH 31, 2025

	Note	Quarter ended March 31, 2025	Quarter ended March 31, 2024
		Rupees	
Profit / return earned on Islamic financing and related assets, investments and placements	24	107,616,529	119,204,838
Profit / return on deposits and other dues expensed	25	45,826,118	51,943,578
Net profit / return		61,790,411	67,261,260
OTHER INCOME			
Fee and Commission Income	26	5,530,562	5,048,904
Dividend income		707,136	442,647
Foreign Exchange Income		1,595,898	477,930
Gain / (loss) on securities	27	11,165	60,100
Net gains on derecognition of financial assets measured at amortised cost		-	-
Other income	28	333,041	327,973
Total other income		8,177,802	6,357,554
Total income		69,968,213	73,618,814
OTHER EXPENSES			
Operating expenses	29	18,610,639	19,956,911
Workers welfare fund		1,016,000	1,118,616
Other charges	30	4,606	132,596
Total other expenses		19,631,245	21,208,123
Profit before credit loss allowance / provisions		50,336,968	52,410,691
Credit loss allowance / provisions and write offs - net	31	1,858,380	263,010
Extra ordinary / unusual items		-	-
Profit before taxation		48,478,588	52,147,681
Taxation	32	26,430,990	27,205,006
Profit after taxation		22,047,598	24,942,675
		Rupees	
Basic earnings per share	33	12.28	13.92
Diluted earnings per share	34	12.22	13.86

The annexed notes 1 to 42 form an integral part of this condensed interim unconsolidated financial information.

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President & Chief Executive

Mohammad Abdul Aleem
Director

Tariq Mahmood Pasha
Director

Syed Imran Ali Shah
Chief Financial Officer

CONDENSED INTERIM UNCONSOLIDATED

STATEMENT OF COMPREHENSIVE INCOME (UNAUDITED) FOR THE QUARTER ENDED MARCH 31, 2025

	Quarter ended March 31, 2025	Quarter ended March 31, 2024
	Rupees in '000	
Profit after taxation for the quarter	22,047,598	24,942,675
Other comprehensive income / (loss)		
Items that may be reclassified to statement of profit and loss account in subsequent periods:		
- Movement in deficit on revaluation of debt investments through FVOCI - net of tax	(9,371,091)	(1,454,786)
- Gain on derecognition of Debt investments at FVOCI reclassified to profit or loss account - net of tax	(5,180)	(30,651)
Items that will not be reclassified to statement of profit and loss account in subsequent periods:		
- Movement in surplus on revaluation of equity investments through FVOCI - net of tax	116,829	79,188
Total Comprehensive Income for the quarter	12,788,156	23,536,426

The annexed notes 1 to 42 form an integral part of this condensed interim unconsolidated financial information.

Riyadh S. A. A. Edrees
Chairman

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President & Chief Executive

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Director

Tariq Mahmood Pasha
Director

Syed Imran Ali Shah
Chief Financial Officer

CONDENSED INTERIM UNCONSOLIDATED
STATEMENT OF CHANGES IN EQUITY
FOR THE QUARTER ENDED MARCH 31, 2025

	Capital reserves					Revenue reserves	Surplus / (deficit) on revaluation of		Unappropriated profit	Total
	Share capital	Share premium	Statutory reserve *	Non-Distributable Capital Reserve - Gain on Bargain Purchase	Employee share option compensation reserve	General reserve	Investments	Non-banking Assets		
	Rupees in '000									
Balance as at January 01, 2024	17,912,532	2,626,441	30,617,082	3,117,547	654,321	66,766	10,920,597	-	118,992,231	184,907,517
Impact of adoption of IFRS 9 - net of tax	-	-	-	-	-	-	1,188,390	-	25,760	1,214,150
Profit after taxation for the quarter ended March 31, 2024	-	-	-	-	-	-	-	-	24,942,675	24,942,675
Other Comprehensive loss for the quarter ended March 31, 2024 - net of tax										
- Movement in deficit on revaluation of investments in debt instruments at FVOCI - net of tax	-	-	-	-	-	-	(1,454,786)	-	-	(1,454,786)
- Gain on sale of debt investments carried at FVOCI reclassified to profit or loss account - net of tax	-	-	-	-	-	-	(30,651)	-	-	(30,651)
- Transfer from revaluation of assets to unappropriated profit - net of tax	-	-	-	-	-	-	(61,393)	-	61,393	-
- Movement in surplus on revaluation of equity investments carried at FVOCI - net of tax	-	-	-	-	-	-	79,188	-	-	79,188
Total other comprehensive loss - net of tax	-	-	-	-	-	-	(1,467,642)	-	61,393	(1,406,249)
Recognition of share based compensation	-	-	-	-	108,854	-	-	-	-	108,854
Other appropriations										
Transfer to statutory reserve*	-	-	2,494,268	-	-	-	-	-	(2,494,268)	-
Transactions with owners recognised directly in equity										
Final cash dividend for the year 2023 @ Rs 8 per share	-	-	-	-	-	-	-	-	(14,330,026)	(14,330,026)
Balance as at March 31, 2024	17,912,532	2,626,441	33,111,350	3,117,547	763,175	66,766	10,641,345	-	127,197,765	195,436,921
Profit after taxation for the nine months period ended December 31, 2024	-	-	-	-	-	-	-	-	76,564,849	76,564,849
Other comprehensive income for the nine months period ended December 31, 2024 - net of tax										
- Movement in surplus on revaluation of investments in debt instruments at FVOCI - net of tax	-	-	-	-	-	-	11,546,474	-	-	11,546,474
- Gain on sale of debt investments carried at FVOCI reclassified to profit or loss account - net of tax	-	-	-	-	-	-	(1,582,829)	-	-	(1,582,829)
- Transfer from revaluation of assets to unappropriated profit - net of tax	-	-	-	-	-	-	(615,745)	-	615,745	-
- Remeasurement loss on valuation of employee retirement benefits	-	-	-	-	-	-	-	-	(208,738)	(208,738)
- Movement in surplus on revaluation of equity investments carried at FVOCI - net of tax	-	-	-	-	-	-	2,151,947	-	-	2,151,947
Total other comprehensive income - net of tax	-	-	-	-	-	-	11,499,847	-	407,007	11,906,854
Recognition of share based compensation	-	-	-	-	481,923	-	-	-	-	481,923
Other appropriations										
Transfer to statutory reserve*	-	-	7,656,484	-	-	-	-	-	(7,656,484)	-
Transactions with owners recognised directly in equity										
First interim cash dividend for the year 2024 @ Rs 7 per share	-	-	-	-	-	-	-	-	(12,538,773)	(12,538,773)
Second interim cash dividend for the year 2024 @ Rs 7 per share	-	-	-	-	-	-	-	-	(12,563,185)	(12,563,185)
Third interim cash dividend for the year 2024 @ Rs 7 per share	-	-	-	-	-	-	-	-	(12,563,185)	(12,563,185)
									(37,665,143)	(37,665,143)
Issue of 3,487,520 shares under the Employees shares option scheme	34,875	477,812	-	-	(299,231)	-	-	-	45,432	258,888
Balance as at December 31, 2024	17,947,407	3,104,253	40,767,834	3,117,547	945,867	66,766	22,141,192	-	158,893,426	246,984,292

CONDENSED INTERIM UNCONSOLIDATED

STATEMENT OF CHANGES IN EQUITY FOR THE QUARTER ENDED MARCH 31, 2025

	Capital reserves					Revenue reserves	Surplus / (deficit) on revaluation of		Unappropriated profit	Total
	Share capital	Share premium	Statutory reserve *	Non-Distributable Capital Reserve - Gain on Bargain Purchase	Employee share option compensation reserve	General reserve	Investments	Non-banking Assets		
	Rupees in '000									
Balance as at December 31, 2024	17,947,407	3,104,253	40,767,834	3,117,547	945,867	66,766	22,141,192	-	158,893,426	246,984,292
Profit after taxation for the quarter ended March 31, 2025	-	-	-	-	-	-	-	-	22,047,598	22,047,598
Other Comprehensive loss for the quarter ended March 31, 2025 - net of tax										
- Movement in deficit on revaluation of investments in debt instruments at FVOCI - net of tax	-	-	-	-	-	-	(9,371,091)	-	-	(9,371,091)
- Gain on derecognition of Debt investments at FVOCI reclassified to profit or loss - net of tax	-	-	-	-	-	-	(5,180)	-	-	(5,180)
- Transfer from revaluation of assets to unappropriated profit - net of tax	-	-	-	-	-	-	(218,813)	-	218,813	-
- Movement in surplus on revaluation of investments in equity instruments at FVOCI - net of tax	-	-	-	-	-	-	116,829	-	-	116,829
Total other comprehensive loss - net of tax	-	-	-	-	-	-	(9,478,255)	-	218,813	(9,259,442)
Recognition of share based compensation	-	-	-	-	157,299	-	-	-	-	157,299
Other appropriations										
Transfer to statutory reserve*	-	-	2,204,760	-	-	-	-	-	(2,204,760)	-
Transactions with owners recognised directly in equity										
Final cash dividend for the year 2024 @ Rs 7 per share	-	-	-	-	-	-	-	-	(12,563,185)	(12,563,185)
Balance as at March 31, 2025	<u>17,947,407</u>	<u>3,104,253</u>	<u>42,972,594</u>	<u>3,117,547</u>	<u>1,103,166</u>	<u>66,766</u>	<u>12,662,937</u>	<u>-</u>	<u>166,391,892</u>	<u>247,366,562</u>

*This represents reserve created under section 21(i)(b) of the Banking Companies Ordinance, 1962.

The annexed notes 1 to 42 form an integral part of this condensed interim unconsolidated financial information.

Riyadh S. A. A. Edrees
Chairman

Irfan Siddiqui
President & Chief Executive

Mohammad Abdul Aleem
Director

Tariq Mahmood Pasha
Director

Syed Imran Ali Shah
Chief Financial Officer

CONDENSED INTERIM UNCONSOLIDATED

CASH FLOW STATEMENT (UNAUDITED)

FOR THE QUARTER ENDED MARCH 31, 2025

	Note	Quarter ended March 31, 2025	Quarter ended March 31, 2024
Rupees in '000			
CASH FLOW FROM OPERATING ACTIVITIES			
Profit before taxation		48,478,588	52,147,681
Less: Dividend income		(707,136)	(442,647)
		47,771,452	51,705,034
Adjustments:			
Depreciation	29	1,629,464	1,328,625
Net profit / return		(62,780,973)	(68,146,739)
Amortisation	29	174,676	154,995
Non cash items related to right-of-use assets	25 & 29	1,701,131	1,507,000
Credit loss allowance and write offs - net	31	1,858,380	263,010
Share based compensation expense	38	157,299	108,854
Unrealised gain - FVTPL	27	(144)	-
Gain on sale of property and equipment	28	(152,749)	(150,402)
		(57,412,916)	(64,934,657)
		(9,641,464)	(13,229,623)
(Increase) / Decrease in operating assets			
Due from financial institutions		(1,500,000)	-
Islamic financings and related assets		112,286,504	61,134,897
Other assets		(9,533,839)	(5,906,876)
		101,252,665	55,228,021
Increase / (Decrease) in operating liabilities			
Bills payable		(62,449,668)	(385,912)
Due to financial institutions		(111,858,631)	(44,807,668)
Deposits and other accounts		295,396,266	52,597,630
Other liabilities		(12,305,903)	(6,562,493)
		108,782,064	841,557
		200,393,265	42,839,955
Net profit / return received		55,645,222	76,819,551
Net profit / return paid		(46,447,074)	(51,538,053)
Income tax paid		(11,862,759)	(20,654,838)
Net cash generated from operating activities		197,728,654	47,466,615
CASH FLOW FROM INVESTING ACTIVITIES			
Net (investments) / redemption in amortised cost securities		(33,209)	18,618
Net (investments) / redemption in securities classified as FVOCI		(201,994,398)	(54,125,726)
Net (investments) / redemption in securities classified as FVTPL		2,678,599	3,189,096
Net (investments) / redemption in subsidiaries		-	(1,000,000)
Dividends received		707,136	442,647
Investments in property and equipment		(2,826,972)	(4,286,505)
Investments in intangible assets		(166,868)	(61,702)
Proceeds from sale of property and equipment		323,188	246,876
Net cash used in investing activities		(201,312,524)	(55,576,696)
CASH FLOW FROM FINANCING ACTIVITIES			
Payment of lease liability against right-of-use assets		(1,147,894)	(996,129)
Dividend paid		(530)	(370)
Net cash used in financing activities		(1,148,424)	(996,499)
Decrease in cash and cash equivalents		(4,732,294)	(9,106,580)
ECL impact of IFRS 9 on cash and cash equivalents		(1,990)	(43,831)
Cash and cash equivalents at the beginning of the quarter	35	272,075,918	251,384,492
Cash and cash equivalents at the end of the quarter	35	267,341,634	242,234,081

The annexed notes 1 to 42 form an integral part of this condensed interim unconsolidated financial information.

Riyadh S. A. A. Edrees
Chairman

Irfan Siddiqui
President & Chief Executive

Mohammad Abdul Aleem
Director

Tariq Mahmood Pasha
Director

Syed Imran Ali Shah
Chief Financial Officer

**NOTES TO AND FORMING PART OF THE CONDENSED INTERIM UNCONSOLIDATED
FINANCIAL INFORMATION (UNAUDITED)
FOR THE QUARTER ENDED MARCH 31, 2025**

1 LEGAL STATUS AND NATURE OF BUSINESS

- 1.1** Meezan Bank Limited (the Bank) was incorporated in Pakistan on January 27, 1997, as a public limited company under the Companies Act, 2017 (previously Companies Ordinance, 1984), and its shares are quoted on the Pakistan Stock Exchange Limited. The Bank was registered as an 'Investment Finance Company' on August 8, 1997, and carried on the business of investment banking as permitted under SRO 585(I)/87 dated July 13, 1987, in accordance and in conformity with the principles of Islamic Shariah. A 'Certificate of Commencement of Business' was issued to the Bank on September 29, 1997.
- 1.2** The Bank was granted a 'Scheduled Islamic Commercial Bank' license on January 31, 2002 and formally commenced operations as a Scheduled Islamic Commercial Bank with effect from March 20, 2002, on receiving notification in this regard from the State Bank of Pakistan (the SBP) under section 37 of the State Bank of Pakistan Act, 1956. Currently, the Bank is engaged in corporate, commercial, consumer, investment and retail banking activities.
- 1.3** The Bank was operating through One thousand and fifty two branches as at March 31, 2025 (December 31, 2024: One thousand and fifty one branches). Its registered office is at Meezan House, C-25, Estate Avenue, SITE, Karachi, Pakistan.
- 1.4** The VIS Credit Rating Company Limited (VIS) has reaffirmed the Bank's medium to long-term rating as 'AAA' and short-term rating as 'A1+' on July 09, 2024 based on unconsolidated financial statements for the year ended December 31, 2023.

2 BASIS OF PRESENTATION

The Bank provides Islamic financing and related assets mainly through Murabaha, Istisna, Tijarah, Ijarah, Diminishing Musharakah, Running Musharakah, Bai Muajjal, Musawammah, Service Ijarah, Wakalah, Wakalah Tul Istithmar including under Islamic Export Refinance Scheme and various long term islamic refinancing facilities of the State Bank of Pakistan respectively.

The purchases and sales arising under these arrangements are not reflected in these unconsolidated financial statements as such but are restricted to the amount of facility actually utilised and the appropriate portion of profit thereon. The income on such financing is recognised in accordance with the principles of Islamic Shariah. However, income, if any, received which does not comply with the principles of Islamic Shariah is recognised as charity payable if so directed by the Resident Shariah Board Member (RSBM) of the Bank.

3 STATEMENT OF COMPLIANCE

- 3.1** This condensed interim financial information (here-in-after referred to as "financial information") has been prepared in accordance with the accounting and reporting standards as applicable in Pakistan for interim financial reporting. The accounting and reporting standards as applicable in Pakistan for interim financial reporting comprise of:
- International Accounting Standard (IAS) 34, International Financial Reporting Standards (IFRS) issued by the International Accounting Standards Board (IASB) as are notified under the Companies Act, 2017;
 - Islamic Financial Accounting Standards (IFAS) issued by the Institute of Chartered Accountants of Pakistan as are notified under the Companies Act, 2017;
 - Provisions of and directives issued under the Banking Companies Ordinance, 1962 and the Companies Act, 2017; and
 - Directives issued by the State Bank of Pakistan (SBP) and the Securities Exchange Commission of Pakistan (SECP).

NOTES TO AND FORMING PART OF THE CONDENSED INTERIM UNCONSOLIDATED FINANCIAL INFORMATION (UNAUDITED) FOR THE QUARTER ENDED MARCH 31, 2025

Whenever the requirements of the Banking Companies Ordinance, 1962, the Companies Act, 2017 or the directives issued by the SBP and the SECP differ with the requirements of IFRS or IFAS, the requirements of the Banking Companies Ordinance, 1962, the Companies Act, 2017 and the said directives, shall prevail.

- 3.2** The disclosures made in these unconsolidated condensed interim financial statements have been limited based on the format prescribed by the SBP through BPRD Circular Letter No. 02 dated February 09, 2023 and the requirements of International Accounting Standard 34, "Interim Financial Reporting". They do not include all the information and disclosures required for annual financial statements, and therefore should be read in conjunction with the annual audited unconsolidated financial statements of the Bank for the year ended December 31, 2024.

3.3 Standards, interpretations of and amendments to the published accounting and reporting standards that are effective in the current period:

- 3.3.1** There are certain new and amended standards, interpretations and amendments that have become applicable for the Bank's accounting periods beginning on January 1, 2025 but are considered not to be relevant or do not have any significant effect on the Bank's operations and are therefore not detailed in these condensed interim unconsolidated financial statements.

3.4 Standards, interpretations of and amendments to the published accounting and reporting standards that are not yet effective:

- 3.4.1** The following revised standards, amendments and interpretations with respect to the accounting and reporting standards would be effective from the dates mentioned below against the respective standards, amendments or interpretations:

Standards, interpretations or amendments	Effective Date (annual periods beginning on or after)
- IFRS 1- 'First-time Adoption of International Financial Reporting Standards' (amendments)	January 1, 2026
- IFRS 9 - 'Financial Instruments' (amendments)	January 1, 2026
- IAS 7 - 'Statement of Cash Flows' (amendments)	January 1, 2026
- IFRS 18 - 'Presentation and Disclosure in Financial Statements'	January 1, 2027

The management is in the process of assessing the impact of these standards and amendments on the condensed interim unconsolidated financial statements of the Bank.

4. BASIS OF MEASUREMENT

- 4.1** These unconsolidated financial statements have been prepared under the historical cost convention, except for certain non banking assets acquired in satisfaction of claims which are stated at revalued amounts, investment classified at fair value through profit or loss and fair value through other comprehensive income, commitments in respect of certain foreign exchange contracts which are measured at fair value, staff retirement benefits and compensated absences which are carried at present value.

4.2 Functional and presentation currency

Items included in these condensed interim unconsolidated financial statements are measured using the currency of the primary economic environment in which the Bank operates. These condensed interim unconsolidated financial statements are presented in Pakistani Rupees, which is the Bank's functional and presentation currency.

4.3 Rounding off

Figures have been rounded off to the nearest thousand rupees unless otherwise stated.

4.4 CRITICAL ACCOUNTING ESTIMATES AND JUDGMENTS

The basis for accounting estimates adopted in the preparation of these condensed interim unconsolidated financial statements are the same as that applied in the preparation of the annual audited unconsolidated financial statements of the Bank for the year ended December 31, 2024.

5 SUMMARY OF SIGNIFICANT ACCOUNTING AND FINANCIAL RISK MANAGEMENT POLICIES

The accounting policies applied in the preparation of these condensed interim unconsolidated financial statements are the same as applied in the preparation of the annual audited unconsolidated financial statements of the Bank for the year ended December 31, 2024.

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The financial risk management objectives and policies adopted by the Bank are consistent with those disclosed in the annual audited unconsolidated financial statements for the year ended December 31, 2024.

	Note	March 31, 2025 (Unaudited)	December 31, 2024 (Audited)
6 CASH AND BALANCES WITH TREASURY BANKS			
Rupees in '000			
In hand			
- local currency		65,165,297	54,273,193
- foreign currencies		4,663,661	4,243,363
		69,828,958	58,516,556
With the State Bank of Pakistan in:			
- local currency current accounts		135,622,748	147,811,687
- foreign currency current accounts		16,159,587	15,694,215
	6.1	151,782,335	163,505,902
With the National Bank of Pakistan in:			
- local currency current accounts		37,300,650	38,694,972
National Prize Bonds	6.2	344	22,945
Less: Credit loss allowance held against cash and balances with treasury banks		(5,480)	(6,117)
Cash and balances with treasury banks - net of credit loss allowance		258,906,807	260,734,258

6.1 These include local and foreign currency amounts required to be maintained by the Bank with the SBP under the Banking Companies Ordinance, 1962 and /or stipulated by the SBP. These accounts are non-remunerative in nature.

6.2 These represent the national prize bonds received from customers for onward surrendering to SBP. The Bank, as a matter of Shariah principle, does not deal in prize bonds.

	March 31, 2025 (Unaudited)	December 31, 2024 (Audited)
7 BALANCES WITH OTHER BANKS		
Rupees in '000		
In Pakistan		
- in current accounts	8,561,827	10,723,532
Outside Pakistan		
- in current accounts	2,896,436	2,437,740
- in deposit accounts	-	280,223
	2,896,436	2,717,963
Less: Credit loss allowance held against balances with other banks	(19,172)	(16,545)
Balances with other banks - net of credit loss allowance	11,439,091	13,424,950

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	Note	March 31, 2025 (Unaudited)	December 31, 2024 (Audited)
8 DUE FROM FINANCIAL INSTITUTIONS		Rupees in '000	
Bai Muajjal receivable:			
- from scheduled banks / financial institutions - Secured	8.1	34,964,299	34,964,299
- from other Financial Institution		15,500	15,500
		34,979,799	34,979,799
Musharakah Placement	8.2	1,500,000	-
		36,479,799	34,979,799
Less: Credit loss allowance held against due from financial institutions	8.3	(15,502)	(15,500)
Due from financial institutions - net of provision		36,464,297	34,964,299

8.1 The effective average return on this product is 12.33% (December 31, 2024: 12.17%) per annum. The balances have maturities in July 2025 (December 31, 2024: July 2025).

8.2 The effective average return on this product is 12.50% (December 31, 2024: Nil) per annum. The balance has matured in April 2025.

	March 31, 2025 (Unaudited)		December 31, 2024 (Audited)	
	Due from financial institutions	Credit loss allowance held	Due from financial institutions	Credit loss allowance held
	Rupees in '000			
8.3 Category of classification				
Performing - Stage 1	36,464,299	2	34,964,299	-
Under performing - Stage 2	-	-	-	-
Non-performing - Stage 3 (Loss)	15,500	15,500	15,500	15,500
Total	36,479,799	15,502	34,979,799	15,500

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9 INVESTMENTS

9.1 Investments by types:

	March 31, 2025 (Unaudited)				December 31, 2024 (Audited)			
	Cost / amortised cost	Credit loss allowance	Surplus / (deficit)	Carrying Value	Cost / amortised cost	Credit loss allowance	Surplus / (deficit)	Carrying Value
	Rupees in '000							
FVTPL securities								
- Federal Government securities	2,099,039	-	-	2,099,039	4,778,499	-	-	4,778,499
- Units of mutual funds	60,011	-	8,193	68,204	59,150	-	7,483	66,633
- Non Government Sukuk	933,000	-	500	933,500	933,000	-	1,066	934,066
	3,092,050	-	8,693	3,100,743	5,770,649	-	8,549	5,779,198
FVOCI securities								
- Federal Government Securities	1,762,734,821	-	17,773,958	1,780,508,779	1,317,019,755	-	37,668,822	1,354,688,577
- Shares	5,574,441	-	4,605,385	10,179,826	6,323,475	-	4,817,853	11,141,328
- Non Government Sukuk	126,600,218	344,132	4,044,836	130,300,922	126,953,624	344,437	3,711,417	130,320,604
- Foreign Securities	4,063,382	386	(43,060)	4,019,936	4,028,707	429	(70,608)	3,957,670
	1,898,972,862	344,518	26,381,119	1,925,009,463	1,454,325,561	344,866	46,127,484	1,500,108,179
Amortized Cost securities								
- Federal Government Securities	120,106,216	-	-	120,106,216	362,725,910	-	-	362,725,910
In related parties								
Associates								
- Units of mutual funds	859,283	-	-	859,283	859,283	-	-	859,283
Subsidiaries								
- Shares	1,063,050	-	-	1,063,050	1,063,050	-	-	1,063,050
Total Investments	2,024,093,461	344,518	26,389,812	2,050,138,755	1,824,744,453	344,866	46,136,033	1,870,535,620

During the quarter, the Bank has reclassified a certain portfolio of government ijarah sukuk amounting to Rs 242.6 billion from amortized cost to FVOCI due to reassessment of business model of the Bank with effect from January 01, 2025. These sukuk were originally classified at amortized cost on January 01, 2024 upon adoption of IFRS 9. Impact of this reclassification has resulted in revaluation gain of Rs 1.1 billion (gross of tax) which been routed through other comprehensive income. Reclassification has resulted in changes in CAR from 22.35% to 22.39% as of January 01, 2025.

9.1.1 Details of investment in subsidiary and associates

	March 31, 2025 (Unaudited)						
	Percentage of holding %	Assets	Liabilities	Revenue	Profit / (loss) after taxation	Total comprehensive income / (loss)	Market value / net asset share
	Rupees in '000						
Subsidiaries (unlisted)							
Al Meezan Investment Management Limited	65.00%	8,109,779	2,752,358	2,136,680	889,868	889,868	N/A
Meezan Exchange Company (Private) Limited	100.00%	1,062,418	22,132	43,894	9,686	9,686	N/A
Associates (open ended - listed)							
Meezan Balanced Fund	14.92%	3,174,942	118,258	71,716	34,425	34,425	456,074
Al Meezan Mutual Fund	7.76%	11,805,437	429,394	412,016	299,780	299,780	882,675
Meezan Islamic Fund	3.67%	43,599,106	917,429	854,776	411,837	411,837	1,567,165
Meezan Sovereign Fund	0.00%	57,121,578	3,886,561	3,028,907	2,114,590	2,114,590	575
Meezan Gold Fund	5.13%	4,974,763	257,290	572,839	536,543	536,543	241,852
KSE Meezan Index Fund	5.69%	5,454,615	65,384	94,649	65,621	65,621	306,694
Meezan Cash Fund	0.00%	249,111,825	1,385,214	3,695,726	3,243,799	3,243,799	5,558
Meezan Islamic Income Fund	0.02%	33,237,108	1,512,195	852,172	655,181	655,181	5,551
		408,479,374	8,571,724	9,582,801	7,361,776	7,361,776	3,466,144

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	December 31, 2024			March 31, 2024			
	Percentage of holding %	Assets	Liabilities	Revenue	Profit / (loss) after taxation	Total comprehensive income / (loss)	Market value / net asset share
Subsidiaries (unlisted)				Rupees in '000			
Al Meezan Investment Management Limited	65.00%	8,130,073	2,662,520	560,725	41,415	41,415	N/A
Meezan Exchange Company (Private) Limited	100.00%	1,057,295	23,447	(15,691)	(15,435)	(15,435)	N/A
Associates (open ended - listed)							
Meezan Balanced Fund	13.40%	3,606,799	257,557	23,194	82,333	82,333	394,960
Al Meezan Mutual Fund	8.42%	10,430,810	235,289	(104,259)	237,837	237,837	570,385
Meezan Islamic Fund	3.55%	44,842,591	1,115,789	(282,504)	892,714	892,714	1,063,560
Meezan Sovereign Fund	0.00%	272,303,981	2,755,188	267,844	3,221,741	3,221,741	560
Meezan Gold Fund	7.49%	2,787,923	20,177	210,806	112,800	112,800	178,341
KSE Meezan Index Fund	4.49%	6,804,275	115,925	46,170	228,572	228,572	214,501
Meezan Cash Fund	0.01%	90,343,436	423,819	2,085,793	1,967,312	1,967,312	N/A
Meezan Islamic Income Fund	0.01%	46,775,350	516,945	693,144	644,063	644,063	N/A
		477,895,165	5,440,690	2,940,188	7,387,373	7,387,373	2,422,307

Subsidiary and associates are incorporated / registered in Pakistan. Shares in subsidiary are placed in custody account with Central Depository of Pakistan and cannot be sold without the prior approval of SECP in accordance with the SECP's circular No. 9 of 2006 dated June 15, 2006.

9.1.2 Investments given as collateral

	March 31, 2025 (Unaudited)		December 31, 2024 (Audited)	
	Cost / amortised cost	Market value	Cost / amortised cost	Market value
	Rupees in '000			
Federal Government Securities				
- Sukuk	469,000,000	473,992,700	485,500,000	503,414,750

9.2 Credit loss allowance / Provision for diminution in value of investments

	March 31, 2025 (Unaudited)	December 31, 2024 (Audited)
	Rupees in '000	
Opening balance	344,866	2,632,709
Impact of adoption of IFRS 9 - reversal of provision held	-	(2,562,068)
Impact of adoption of IFRS 9 - ECL	-	52,035
	-	(2,510,033)
Charge / (reversals)		
ECL charge for the quarter / year	41	239,996
ECL reversals for the quarter / year	(389)	(17,806)
Reversals of provision for diminution against shares	-	-
	(348)	222,190
Closing balance	344,518	344,866

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9.3 Particulars of provision against Debt securities

Category of classification	March 31, 2025 (Unaudited)		December 31, 2024 (Audited)	
	Investment - Cost / amortised cost	Credit loss allowance	Investment - Cost / amortised cost	Credit loss allowance
	Rupees in '000			
Domestic				
Performing - Stage 1	5,284,953	4,868	5,604,416	5,216
Under performing - Stage 2	-	-	-	-
Non-performing - Stage 3				
Substandard	-	-	-	-
Doubtful	-	-	-	-
Loss	339,650	339,650	339,650	339,650
	339,650	339,650	339,650	339,650
	5,624,603	344,518	5,944,066	344,866

The debt securities amounting to Rs 1,882,841 million (December 2024: Rs 1,679,746 million) and Rs 125,029 million (December 2024: Rs 125,038 million) pertains to Government securities and Government guaranteed exposure respectively. The exposure is exempted for the calculation of ECL by the SBP.

10 ISLAMIC FINANCING AND RELATED ASSETS

In Pakistan:

Murabaha financing and related assets

	Note	March 31, 2025 (Unaudited)	December 31, 2024 (Audited)
		Rupees in '000	
- Murabaha financing	10.1	4,911,373	5,552,574
- Financing under Islamic Export Refinance - Murabaha	10.1	128,878	303,924
- Financing against Islamic SME Asaan Finance	10.1	1,423,260	1,818,265
- Advances against Murabaha		15,599,713	22,450,689
- Murabaha inventory		3,324,435	1,484,181
- Advance against Islamic SME Asaan Finance		212,681	354,722
- Advance against Islamic Export Refinance - Murabaha		815,072	770,105
- Inventory under Islamic SME Asaan Finance		-	2,852
- Financing against Islamic Working Capital Finance		6,000	-
		26,421,412	32,737,312

Running Musharakah financing

- Running Musharakah financing		657,319,074	676,407,577
- Financing under Islamic Export Refinance - Running Musharakah		33,409,097	36,943,954
		690,728,171	713,351,531

Istisna financing and related assets

- Istisna financing		52,342,141	24,178,898
- Advances against Istisna		49,784,810	75,741,840
- Istisna inventory		18,351,979	57,719,292
- Financing under Islamic Export Refinance - Istisna		877,508	419,234
- Advances under Islamic Export Refinance - Istisna		11,037,394	10,612,565
- Inventory under Islamic Export Refinance - Istisna		3,351,960	4,193,560
		135,745,792	172,865,389

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	Note	March 31, 2025 (Unaudited)	December 31, 2024 (Audited)
		Rupees in '000	
Tijarah financing and related assets			
- Tijarah financing		3,944,670	4,876,050
- Tijarah inventory		13,575,148	14,434,733
- Financing under Islamic Export Refinance - Tijarah		1,340,818	1,086,970
- Inventory under Islamic SME Asaan Finance		382,113	311,241
- Inventory under Islamic Export Refinance - Tijarah		968,924	855,201
		20,211,673	21,564,195
Musawammah financing and related assets			
- Musawammah financing	10.2	16,188,348	23,777,208
- Financing under Islamic Export Refinance - Musawammah	10.2	706,954	669,459
- Financing under SBP's Islamic Financing Facility for Renewable Energy (IFRE) - Musawammah	10.2	424,769	428,575
- Financing against Islamic SME Asaan Finance	10.2	6,244	26,508
- Advances against Musawammah		11,819,169	12,317,484
- Musawammah Inventory		6,432,742	13,320,611
- Advance against Islamic SME Asaan Finance		10,000	11,853
- Advances under Islamic Export Refinance - Musawammah		321,052	879,245
- Inventory under Islamic Export Refinance - Musawammah		120,000	28,000
		36,029,278	51,458,943
Salam Financing and related assets			
- Salam Financing		543,942	1,569,320
- Advances against Salam		24,646,780	25,511,879
- Salam Inventory		1,346,152	2,625,049
		26,536,874	29,706,248
Financing against bills			
- Financing against bills - Salam		579,044	1,196,715
- Advance against bills - Salam		1,738	1,738
		580,782	1,198,453
- Bai Muajjal financing	10.3	8,398,919	43,662,372
Ijarah financing and related assets			
- Net investment in Ijarah		48,758	48,758
- Net book value of assets / investment in Ijarah under IFAS 2		68,647,121	61,624,855
		68,695,879	61,673,613
- Advances against Ijarah	10.4	9,648,858	7,857,788
		78,344,737	69,531,401
Diminishing Musharakah financing and related assets			
- Diminishing Musharakah financing		203,463,346	219,903,211
- Diminishing Musharakah financing - housing		16,609,531	16,873,015
- Diminishing Musharakah financing - SBP's Islamic Financing Facility for Storage of Agricultural Produce (IFFSAP)		405,529	399,281
- Diminishing Musharakah financing - SBP's Islamic Financing Facility for Renewable Energy (IFRE)		14,650,257	15,153,734
- Diminishing Musharakah financing - SBP's Islamic Refinance Facility for Combating COVID – 19 (IRFCC)		107,606	107,606
- Diminishing Musharakah financing - SBP's Islamic SME Asaan Finance (I-SAAF) Scheme		3,367,157	3,190,659
- Diminishing Musharakah financing - SBP's Islamic Long Term Financing Facility (ILTFF) for Plant & Machinery		16,114,184	16,898,044
- Diminishing Musharakah financing - SBP's Islamic Temporary Economic Refinance Facility (ITERF)		12,307,997	12,790,555
- Diminishing Musharakah financing - under SBP's Islamic Refinance Facility for Modernization of SMEs (IRFMS)		196,237	190,903
- Diminishing Musharakah financing - SBP's Islamic Refinance and Credit Guarantee Scheme for Women Entrepreneurs (IRCGSWE)		19,951	10,327
- Advances against Diminishing Musharakah		73,194,875	55,505,976
- Advances against Diminishing Musharakah under SBP's IFFSAP		776,696	693,503
- Advances against Diminishing Musharakah under SBP's IFRE		2,166,382	2,228,906
- Advances against Diminishing Musharakah under SBP's IRFCC		97,066	109,029
- Advances against Diminishing Musharakah under SBP's ISAAF		417,141	560,712
- Advances against Diminishing Musharakah under SBP's ITERF		427,230	427,647
- Advances against Diminishing Musharakah under SBP's IRFMS		201,127	14,903
- Advances against Diminishing Musharakah under SBP's IRCGSWE		8,426	5,000
- Advances against Diminishing Musharakah under SBP's ILTFF		3,163,911	3,151,948
		347,694,649	348,214,959

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	Note	March 31, 2025 (Unaudited)	December 31, 2024 (Audited)
		Rupees in '000	
- Musharakah financing		1,300,000	1,300,000
- Advances against Wakalah Tul Istithmar		30,602,133	30,602,133
- Advances against Service Ijarah		29,976,414	30,508,677
- Qard financing under SBP's IRFCC		82,502	114,803
- Labbaik (Qard for Hajj and Umrah)		5,188	5,547
- Staff financing (including under SBP's IFRE)	10.5	8,674,125	8,321,137
- Other financing		2,211,408	1,219,218
Gross Islamic Financing and Related Assets	10.6	1,443,544,057	1,556,362,318
Less: Credit Loss Allowance - Stage 1	10.7.1	(2,586,574)	(2,609,888)
Less: Credit Loss Allowance - Stage 2	10.7.1	(1,509,352)	(1,511,416)
Less: Credit Loss Allowance - Stage 3	10.7.1	(25,523,150)	(23,885,078)
Less: Provision against non-performing Islamic financing and related assets - General	10.7.1	(13,600,000)	(13,600,000)
Islamic financing and related assets - net of credit loss allowance		1,400,324,981	1,514,755,936
10.1 Murabaha receivable - gross	10.1.1	6,793,214	8,091,467
Less: Deferred murabaha income	10.1.3	(137,403)	(145,025)
Profit receivable shown in other assets		(186,300)	(271,679)
Murabaha financing	10.1.2	6,469,511	7,674,763
10.1.1 Murabaha Sale Price		5,235,076	8,091,467
Murabaha Purchase Price		(4,911,373)	(7,674,763)
		323,703	416,704
10.1.2 The movement in Murabaha financing during the period / year is as follows:			
Opening balance		7,674,763	7,177,526
Sales during the quarter / year		18,103,346	53,863,021
Adjusted during the quarter / year		(19,308,598)	(53,365,784)
Closing balance		6,469,511	7,674,763
10.1.3 Deferred murabaha income			
Opening balance		145,025	248,064
Arising during the quarter / year		856,341	3,416,239
Recognised during the quarter / year		(863,963)	(3,519,278)
Closing balance		137,403	145,025
10.2 Musawammah financing - gross		18,141,229	26,413,197
Less: Deferred income		(446,745)	(627,968)
Profit receivable shown in other assets		(368,169)	(883,479)
Musawammah financing		17,326,315	24,901,750
10.3 Bai Muajjal financing - gross		9,337,163	45,392,716
Less: Deferred income		(836,010)	(1,103,526)
Profit receivable shown in other assets		(102,234)	(626,818)
Bai Muajjal financing		8,398,919	43,662,372
10.4 Net book value of assets / investments in Ijarah under IFAS 2 is net of depreciation of Rs 52,866 million (December 31, 2024: Rs 51,119 million).			

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10.5 This includes Rs 987 million (December 31, 2024: Rs 973 million) representing profit free financing to staff advanced under the Bank's Human Resource Policies.

	March 31, 2025 (Unaudited)	December 31, 2024 (Audited)
	Rupees in '000	
10.6 Particulars of financing - Gross		
- in local currency	1,365,142,266	1,464,872,537
- in foreign currencies	78,401,791	91,489,781
	<u>1,443,544,057</u>	<u>1,556,362,318</u>

10.7 Islamic financing and related assets include Rs 30,296 million (December 31, 2024: Rs 25,243 million) which have been placed under non-performing status (Stage 3 under IFRS 9) as detailed below:

	March 31, 2025 (Unaudited)		December 31, 2024 (Audited)	
Category of classification - Stage 3 under IFRS 9	Non-performing amount	Credit loss allowance	Non-performing amount	Credit loss allowance
	Rupees in '000			
Domestic				
Other Assets Especially Mentioned	-	-	388	176
Substandard	7,119,702	3,636,614	962,362	763,303
Doubtful	4,880,279	4,005,308	4,765,274	4,001,247
Loss	18,295,739	17,881,228	19,515,149	19,120,352
Total	<u>30,295,720</u>	<u>25,523,150</u>	<u>25,243,173</u>	<u>23,885,078</u>

10.7.1 Particulars of credit loss allowance against Islamic financing and related assets:

	March 31, 2025 (Unaudited)					December 31, 2024 (Audited)					
	Expected credit loss			General	Total	Expected credit loss			Specific	General	Total
	Stage 1	Stage 2	Stage 3			Stage 1	Stage 2	Stage 3			
	Rupees in '000										
Opening balance	2,609,888	1,511,416	23,885,078	13,600,000	41,606,382	-	-	-	16,107,097	14,247,354	30,354,451
Implementation of IFRS 9	-	-	-	-	-	-	-	16,107,097	(16,107,097)	-	-
Impact adoption of IFRS 9 - credit loss allowance	-	-	-	-	-	2,419,726	1,034,559	550,553	-	-	4,004,838
Impact of adoption of IFRS 9 - Reversal of provision	-	-	-	-	-	-	-	-	-	(647,354)	(647,354)
	-	-	-	-	-	2,419,726	1,034,559	550,553	-	(647,354)	3,357,484
Exchange Adjustment for the quarter / year	-	-	3,321	-	3,321	-	-	(6,806)	-	-	(6,806)
Net ECL Charge / (reversal) for the quarter / year:	-	-	-	-	-	-	-	-	-	-	-
Charge for the quarter / year	512,737	145,723	3,143,227	-	3,801,687	1,114,242	1,023,586	10,070,673	-	-	12,208,501
Less: Reversals the quarter / year	(536,051)	(147,787)	(1,508,476)	-	(2,192,314)	(924,080)	(546,729)	(1,904,128)	-	-	(3,374,937)
	(23,314)	(2,064)	1,634,751	-	1,609,373	190,162	476,857	8,166,545	-	-	8,833,564
Transfer to other liabilities	-	-	-	-	-	-	-	(749,988)	-	-	(749,988)
Amount written off	-	-	-	-	-	-	-	(182,323)	-	-	(182,323)
Closing balance	2,586,574	1,509,352	25,523,150	13,600,000	43,219,076	2,609,888	1,511,416	23,885,078	-	13,600,000	41,606,382

10.7.2 It includes reversal on account of settlement of exposure amounting to Rs 244 million (December 2024: Rs 590 million) against acquisition of non-banking asset amounting to Rs 281 million (December 2024: Rs 471 million). Remaining amount has been parked in other liabilities as per SBP instructions.

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10.7.3 In addition, the Bank has also maintained a general provision of Rs 13,600 million (December 31, 2024: Rs 13,600 million) against financing made on prudent basis, in view of prevailing economic conditions. This general provision is in addition to the requirements of IFRS 9. This general provision can be maintained till December 31, 2026 under BPRD circular No. 1 of 2025 dated January 22, 2025.

10.7.4 In accordance with BSD Circular No. 2 dated January 27, 2009 issued by the SBP, the Bank has availed the benefit of Forced Sales Value (FSV) of collaterals against the non-performing financing. Since under the instructions from the SBP, the Bank considers the higher of IFRS 9 stage 3 provision and provision under Prudential regulations, the FSV benefit availed is not applicable for all non-performing financing. The accumulated benefit availed amounts to Rs 456.3 million (December 31, 2024: Rs 438.45 million). The additional profit arising from availing the FSV benefit - net of tax amounts to Rs 214.5 million (December 31, 2024: Rs 201.69 million). The increase in profit, due to availing of the benefit, is not available for distribution of cash and stock dividend to share holders.

10.7.5 Islamic financing and related assets - particulars of credit loss allowance

	March 31, 2025 (Unaudited)					December 31, 2024 (Audited)					
	Expected credit loss			General	Total	Expected credit loss			Specific	General	Total
	Stage 1	Stage 2	Stage 3			Stage 1	Stage 2	Stage 3			
	Rupees in '000										
Opening balance	2,609,888	1,511,416	23,885,078	13,600,000	41,606,382	-	-	-	16,107,097	14,247,354	30,354,451
Implementation of IFRS 9	-	-	-	-	-	-	-	16,107,097	(16,107,097)	-	-
Impact of adoption of IFRS 9	-	-	-	-	-	2,419,726	1,034,559	550,553	-	(647,354)	3,357,484
Balance as at January 01 after adopting IFRS 9	2,609,888	1,511,416	23,885,078	13,600,000	41,606,382	2,419,726	1,034,559	16,657,650	-	13,600,000	33,711,935
Fresh disbursements	127,093	14,598	2,318	-	144,009	1,421,726	20,799	9,760	-	-	1,452,285
Amount derecognised / repaid	(368,579)	(41,413)	(1,257,183)	-	(1,667,175)	(407,019)	(156,162)	(1,977,819)	-	-	(2,541,000)
Transfer to stage 1	8,240	(8,240)	-	-	-	19,553	(19,542)	(11)	-	-	-
Transfer to stage 2	(28,602)	29,258	(656)	-	-	(515,067)	515,092	(25)	-	-	-
Transfer to stage 3	(2,317)	(26,851)	29,168	-	-	(73,067)	(50,983)	124,050	-	-	-
Exchange Adjustment for the year	-	-	-	-	-	-	-	-	-	-	-
	(264,165)	(32,648)	(1,226,353)	-	(1,523,166)	446,126	309,204	(1,844,045)	-	-	(1,088,715)
Transfer to other liabilities	-	-	-	-	-	-	-	(749,988)	-	-	(749,988)
Amounts written off / charged off	-	-	-	-	-	-	-	(182,323)	-	-	(182,323)
Changes in risk parameters	240,851	30,584	2,861,106	-	3,132,541	(255,964)	167,653	10,010,590	-	-	9,922,279
Other changes including FX	-	-	3,319	-	3,319	-	-	(6,806)	-	-	(6,806)
Closing balance	2,586,574	1,509,352	25,523,150	13,600,000	43,219,076	2,609,888	1,511,416	23,885,078	-	13,600,000	41,606,382

10.7.6 Category of classification under IFRS 9

	March 31, 2025 (Unaudited)		December 31, 2024 (Audited)	
	Gross Amount	Credit loss allowance	Gross Amount	Credit loss allowance
	Rupees in '000			
Domestic				
Performing - Stage 1 under IFRS 9	1,363,839,862	2,586,574	1,469,603,905	2,609,888
Underperforming - Stage 2 under IFRS 9	49,408,475	1,509,352	61,515,240	1,511,416
Non-Performing - including Stage 3 under IFRS 9				
Other Assets Especially Mentioned	-	-	388	176
Substandard	7,119,702	3,636,614	962,362	763,303
Doubtful	4,880,279	4,005,308	4,765,274	4,001,247
Loss	18,295,739	17,881,228	19,515,149	19,120,352
	30,295,720	25,523,150	25,243,173	23,885,078
Total	<u>1,443,544,057</u>	<u>29,619,076</u>	<u>1,556,362,318</u>	<u>28,006,382</u>

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	Note	March 31, 2025 (Unaudited)	December 31, 2024 (Audited)
		Rupees in '000	
11. FIXED ASSETS			
Capital work-in-progress	11.1	12,447,049	12,577,705
Property and equipment		35,447,129	34,570,029
		47,894,178	47,147,734
Less: Provision against capital work-in-progress		(300,000)	(300,000)
		47,594,178	46,847,734
11.1 Capital work-in-progress			
Advances to suppliers and contractors for:			
- civil works		8,495,996	7,967,486
- computer hardware		953,387	1,074,750
- purchase of vehicles		631,054	731,613
- office machines		1,880,368	2,045,000
- furniture and fixtures		486,244	758,856
		12,447,049	12,577,705
11.2 Additions / transfers to fixed assets		March 31, 2025 (Unaudited)	March 31, 2024 (Unaudited)
The following additions / transfers from non banking assets have been made to fixed assets during the quarter:			
		Rupees in '000	
Capital work-in-progress		(130,656)	694,269
Property and equipment			
Leasehold land		51,851	696,101
Building on leasehold land		370,535	160,499
Leasehold improvements		457,194	779,367
Furniture and fixture		441,750	53,647
Electrical, office and computer equipment		735,273	1,493,649
Vehicles		620,400	408,973
		2,677,003	3,592,236
		2,546,347	4,286,505
11.3 Disposal of fixed assets			
The net book value of fixed assets disposed off during the quarter is as follows:			
Leasehold improvements		391	-
Furniture and fixture		34	77
Electrical, office and computer equipment		2,415	2,226
Vehicles		167,599	94,171
		170,439	96,474
12. RIGHT-OF-USE ASSETS		March 31, 2025 (Unaudited)	
		Cost	Accumulated Depreciation
		Rupees in '000	
At January 1,	33,624,561	(12,394,364)	21,230,197
Additions during the quarter	309,951	-	309,951
Adjusted upon reassessment of useful life	-	-	-
Depreciation Charge	-	(710,569)	(710,569)
Derecognition during the quarter	-	-	-
At March 31,	33,934,512	(13,104,933)	20,829,579

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		December 31, 2024 (Audited)	
	Cost	Accumulated Depreciation	Net Book Value
	Rupees in '000		
At January 1,	29,812,340	(10,240,488)	19,571,852
Additions during the year	4,280,598	-	4,280,598
Adjusted upon reassessment of useful life	-	-	-
Depreciation Charge	-	(2,622,253)	(2,622,253)
Derecognition during the year	(468,377)	468,377	-
At December 31,	33,624,561	(12,394,364)	21,230,197

13. INTANGIBLE ASSETS	March 31, 2025 (Unaudited)	December 31, 2024 (Audited)
	Rupees in '000	
Computer Software	2,185,588	2,227,368
Advance against computer software	703,484	669,512
	2,889,072	2,896,880

13.1 Additions to intangible assets	March 31, 2025 (Unaudited)	March 31, 2024 (Unaudited)
	Rupees in '000	
Additions (Net) during the quarter	166,868	61,702

14 OTHER ASSETS	Note	March 31, 2025 (Unaudited)	December 31, 2024 (Audited)
		Rupees in '000	
Profit / return accrued in local currency - net of provisions		137,678,726	86,337,594
Profit / return accrued in foreign currencies - net of provisions		1,214,575	770,387
Acceptances		20,717,489	28,322,450
Advances, deposits, and other prepayments		13,561,472	12,243,159
Non-banking assets acquired in satisfaction of claims		521,392	521,392
Mark to market gain on forward foreign exchange contracts		239,106	-
Dividends receivable		261	261
Stamps		28,548	28,644
Security deposits		556,963	556,929
Receivable under alternate delivery channel		17,555,882	1,772,365
Other		6,097,723	4,813,008
		198,172,137	135,366,189
Less: Credit loss allowance / provision held against other assets	14.1	(346,236)	(344,733)
Other Assets (net of provision)		197,825,901	135,021,456
Surplus on revaluation of non-banking assets acquired in satisfaction of claims	22	-	-
Other assets - total		197,825,901	135,021,456

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14.1 Credit loss allowance / provision held against other assets	Note	March 31, 2025 (Unaudited)	December 31, 2024 (Audited)
		Rupees in '000	
Profit / return accrued & Others	ECL	92,395	101,252
Acceptances	ECL	59,708	45,127
Non-banking assets acquired in satisfaction of claims	Other provision	22,942	22,942
Others	Other provision	171,191	175,412
		<u>346,236</u>	<u>344,733</u>
14.1.1 Movement in credit loss allowance / provision held against other assets			
Opening balance		344,733	152,364
Impact of adoption of IFRS 9		-	162,964
Charge for the period / year (including ECL)		77,300	164,222
Reversals for the quarter / year		(59,310)	(107,145)
Amount adjusted / written off		(16,487)	(27,672)
Closing balance		<u>346,236</u>	<u>344,733</u>
15 BILLS PAYABLE			
In Pakistan		50,155,739	112,605,407
Outside Pakistan		-	-
		<u>50,155,739</u>	<u>112,605,407</u>
16 DUE TO FINANCIAL INSTITUTIONS			
In Pakistan		611,209,159	722,286,318
Outside Pakistan		-	-
		<u>611,209,159</u>	<u>722,286,318</u>
	Note	March 31, 2025 (Unaudited)	December 31, 2024 (Audited)
		Rupees in '000	
16.1 Details of due to financial institutions - secured / unsecured			
Secured			
With State Bank of Pakistan			
Musharakah under Islamic Export Refinance Scheme		52,782,665	58,932,838
Investment under Islamic Long Term Financing Facility		18,899,783	19,743,040
Investment under Islamic Refinance Facility for Combating COVID-19		303,560	331,437
Investment under Islamic Financing for Renewal Energy		16,973,887	17,508,943
Investment under Islamic Temporary Economic Refinance Facility for Plant and Machinery		12,235,729	12,742,132
Investment under Islamic Refinance Scheme for storage of agriculture produce		969,032	896,789
Investment under Islamic Refinance and Credit Guarantee Scheme for Women Entrepreneurs (IRCGSWE)		14,676	10,327
Investment under Islamic Refinance Scheme for modernization of SMEs (IRFMS)		181,334	181,818
Investment under Islamic Refinance Scheme for SME Asaan Finance		5,983,287	6,192,179
Investment under Shariah Compliant Open Market Operations	16.1.1	471,835,530	390,321,306
Investment under Shariah Compliant Standing Ceiling Facility	16.1.1	-	47,627,464
Total secured		<u>580,179,483</u>	<u>554,488,273</u>
With Scheduled Bank		-	60,500,000
Other financial institutions		8,045,411	6,434,755
Unsecured			
Overdrawn nostro accounts		3,004,265	2,083,290
Musharakah with scheduled banks / financial institutions	16.1.2	19,980,000	98,780,000
		<u>611,209,159</u>	<u>722,286,318</u>

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16.1.1 These represent acceptance of funds by the Bank on Mudarabah basis which has been invested in special pools of the Bank and are secured against lien of the Bank's investment in Federal Government securities. The expected average return on Open Market Operations is 12.12% (December 2024: 13.08%) per annum and Standing Ceiling Facility is Nil (December 2024: 14.00) per annum.

16.1.2 These represents acceptance of funds by the Bank on Musharakah basis. The expected average return on these Musharakah is around 11.35% (December 31, 2024: 12.23%) per annum. These balances have matured in April 2025 (December 31, 2024: January 2025).

17 DEPOSITS AND OTHER ACCOUNTS

	March 31, 2025 (Unaudited)			December 31, 2024 (Audited)		
	In Local Currency	In Foreign Currencies	Total	In Local Currency	In Foreign Currencies	Total
Rupees in '000						
Customers						
- Current accounts - non-remunerative	1,309,789,783	70,632,464	1,380,422,247	1,135,625,316	66,726,436	1,202,351,752
- Savings deposits	1,183,725,695	81,022,731	1,264,748,426	1,083,985,583	80,885,820	1,164,871,403
- Fixed deposits	181,768,868	14,640,138	196,409,006	164,386,854	15,146,642	179,533,496
- Margin deposits	17,458,221	1,354,739	18,812,960	19,147,349	1,987,535	21,134,884
	2,692,742,567	167,650,072	2,860,392,639	2,403,145,102	164,746,433	2,567,891,535
Financial institutions						
- Current accounts - non-remunerative	6,342,551	230,381	6,572,932	4,692,359	611,371	5,303,730
- Savings deposits	11,778,124	73,771	11,851,895	11,539,703	46,492	11,586,195
- Fixed deposits	1,450,100	-	1,450,100	89,840	-	89,840
	19,570,775	304,152	19,874,927	16,321,902	657,863	16,979,765
	2,712,313,342	167,954,224	2,880,267,566	2,419,467,004	165,404,296	2,584,871,300

	Note	March 31, 2025 (Unaudited)	December 31, 2024 (Audited)
Rupees in '000			
18 LEASE LIABILITY AGAINST RIGHT-OF-USE ASSETS			
As at January 1,		25,848,322	22,093,855
Additions		309,951	4,280,598
Adjustment upon reassessment of useful life		-	-
Amortisation of lease liability against right-of-use assets		990,562	3,822,277
Derecognition during the quarter / year		-	-
Payments		(1,147,894)	(4,348,408)
As at March 31 / December 31,		26,000,941	25,848,322

19 SUB-ORDINATED SUKUK

Additional Tier I Sukuk	19.1	7,000,000	7,000,000
Tier II Sukuk	19.2	13,990,000	13,990,000
		20,990,000	20,990,000

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19.1 In August 2018, the Bank issued regulatory Shariah compliant unsecured, sub-ordinated privately placed Additional Tier I Sukuk based on Mudaraba of Rs. 7,000 million as instrument of redeemable capital under section 66 of the Companies Act, 2017. The brief description of Additional Tier I sukuk is as follows:

Credit Rating	AA+ (Double A Plus) by VIS Credit Rating Company Limited
Issue Date	August 01, 2018
Tenor	Perpetual
Profit payment frequency	Monthly in arrears
Redemption	Perpetual. However, the Bank has call option which can be exercised with prior approval of SBP.
Expected Periodic Profit Amount (Mudaraba Profit Amount) - Non discretionary subject to profit of the pool	The Mudaraba Profit is computed under General Pool on the basis of profit sharing ratio and monthly weightages announced by the Bank under the SBP guidelines of pool management. Last announced profit rate on the Sukuk is 15.68% per annum.
Call Option	The Bank may call Additional Tier I Sukuk with prior approval of SBP on or after five years from the date of issue.
Loss Absorbency	The Additional Tier I Sukuk, at the option of the SBP, will be fully and permanently converted into common shares (variable) upon the occurrence of a point of non-viability trigger event as determined by SBP or for any other reason as may be directed by SBP.
Lock-in-Clause	Profit and/or redemption amount can be held back in respect of the Additional Tier I Sukuk, upon directive of the SBP, if such payment will result in a shortfall in the Bank's minimum capital requirement, capital adequacy ratio requirement or leverage ratio requirement.

19.2 In January 2020 and December 2021, the Bank issued regulatory Shariah compliant unsecured, subordinated privately placed Tier II Sukuk based on Mudaraba of Rs. 4,000 million and Rs 9,990 million respectively as instrument of redeemable capital under section 66 of the Companies Act, 2017. The Bank is in the process of redeeming Tier II Sukuk of Rs 4,000 million through exercise of call option. The brief description of Tier II sukuk is as follows:

Credit Rating	AAA (Triple A) by VIS Credit Rating Company Limited
Issue Date	January 09, 2020 and December 16, 2021
Tenor	10 years from the issue date
Profit payment frequency	Semi-annually in arrears
Redemption	Bullet payment at the end of the tenth year
Expected Periodic Profit Amount (Mudaraba Profit Amount) - Non-discretionary subject to actual profit of the pool	The Mudaraba Profit is computed under General Pool on the basis of profit sharing ratio and monthly weightages announced by the Bank under the SBP guidelines of pool management. Last announced profit rate on the Sukuk are 14.94% and 15.21% per annum respectively.
Call Option	The Bank may call Tier II Sukuk with prior approval of SBP on or after five years from the date of issue.
Loss Absorbency	The Tier II Sukuk, at the option of the SBP, will be fully and permanently converted into common shares (variable) upon the occurrence of a point of non-viability trigger event as determined by SBP or for any other reason as may be directed by SBP.
Lock-in-Clause	Profit and/or redemption amount can be held back in respect of the Tier II Sukuk upon directive of the SBP, if such payment will result in a shortfall in the Bank's minimum capital requirement, capital adequacy ratio requirement or leverage ratio requirement.

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20 DEFERRED TAX LIABILITIES

	Note	March 31, 2025 (Unaudited)	December 31, 2024 (Audited)
		Rupees in '000	
Taxable temporary differences on:			
Excess of accounting book values over tax written down values of owned assets		948,821	1,128,110
Surplus on revaluation of FVOCI investments		13,718,182	23,986,292
Surplus on revaluation of FVTPL investments		4,607	4,616
Surplus on revaluation of non-banking assets acquired in satisfaction of claims		-	-
		14,671,610	25,119,018
Deductible temporary differences on:			
Net credit loss allowance against investments		(179,149)	(179,330)
Income not accrued due to non-culmination of financing		(6,148,334)	(5,759,073)
Net credit loss allowance against non-performing Islamic financing and related assets		(6,103,681)	(4,620,736)
Others		(351,562)	(348,544)
		(12,782,726)	(10,907,683)
		1,888,884	14,211,335

21 OTHER LIABILITIES

Return on deposits and other dues			
- payable in local currency		12,194,598	12,658,579
- payable in foreign currencies		302,486	319,959
Unearned income		5,094,063	4,301,617
Accrued expenses		34,799,743	40,269,608
Current taxation (provision less payments)		34,319,872	17,450,552
Acceptances		20,717,489	28,322,450
Dividend payable (including unclaimed dividend)		12,604,029	41,374
Payable to defined benefit plan		1,262,286	2,153,351
Credit loss allowance / provision against off-balance sheet obligations	21.1	533,947	302,882
Charity payable		18,419	31,527
Security deposits against Ijarah		23,658,029	20,777,476
Payable on account of credit murabaha / ijarah / musawammah		433,062	662,558
Security deposits against lockers		237,841	232,090
Mark to market loss on forward foreign exchange commitments - net		-	685,420
Withholding taxes payable		1,807,737	461,208
Workers Welfare Fund payable		14,909,019	13,893,019
Payable under Alternate Delivery Channel (ADC)		22,564,230	26,625,633
Others		3,076,960	3,425,053
		188,533,810	172,614,356

21.1 ECL against off-balance sheet obligations

Opening balance	302,882	55,167
Impact of adoption of IFRS 9	-	269,835
Charge for the quarter / year	328,607	169,393
Reversals for the quarter / year	(97,542)	(191,513)
Closing balance	533,947	302,882

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	Note	March 31, 2025 (Unaudited)	December 31, 2024 (Audited)
22 SURPLUS ON REVALUATION OF ASSETS - NET OF TAX		Rupees in '000	
Securities measured at FVOCI-Debt		21,775,734	41,309,631
Securities measured at FVOCI-Equity		4,605,385	4,817,853
Non-banking assets acquired in satisfaction of claims		-	-
		26,381,119	46,127,484
Less: Deferred tax asset / (liability) on			
- Securities measured at FVOCI-Debt		(11,323,382)	(21,481,008)
- Securities measured at FVOCI-Equity		(2,394,800)	(2,505,284)
- Non-banking assets acquired in satisfaction of claims		-	-
		(13,718,182)	(23,986,292)
		12,662,937	22,141,192
23 CONTINGENCIES AND COMMITMENTS			
- Guarantees	23.1	86,738,327	78,286,827
- Commitments	23.2	1,775,452,770	1,810,593,972
- Other contingent liabilities	23.3	1,802,000	1,802,000
		1,863,993,097	1,890,682,799
23.1 Guarantees:			
Financial guarantees		30,395	30,395
Performance guarantees		57,313,028	53,520,467
Other guarantees		29,394,904	24,735,965
		86,738,327	78,286,827
23.2 Commitments:			
Documentary letters of credit		296,065,395	369,351,453
Commitments in respect of:			
- forward foreign exchange contracts	23.2.1	300,547,049	280,886,420
Commitments for acquisition of:			
- fixed assets		716,785	799,899
- intangible assets		880,184	904,732
Other commitments	23.2.2	1,177,243,357	1,158,651,468
		1,775,452,770	1,810,593,972
23.2.1 Commitments in respect of forward foreign exchange contracts			
Purchase		183,261,652	163,944,780
Sale		117,285,397	116,941,640
		300,547,049	280,886,420
23.2.2 Other Commitments			
Commitments in respect of financing (including irrevocable commitments)		1,177,243,357	1,158,651,468

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23.3 Other contingent liabilities

The Income Tax Department amended the deemed assessment orders of the Bank for prior years including the tax year 2024. The additions / disallowances were mainly due to allocation of expenses relating to dividends and capital gain, allowability of provision against Islamic financing and related assets, provision against investments and provision against other assets. In the amended order for tax year 2015, additional issues with respect to the taxability of gain on bargain purchase, non-adjustment of loss pertaining to HSBC Bank Middle East – Pakistan Branches and the levy of super tax were also raised. The matter has been decided in Bank's favour by Appellate Tribunal Inland Revenue. Both the Bank and the tax department filed a reference with the High Court of Sindh in respect of the aforementioned matters.

The management of the Bank, in consultation with its tax advisors, is confident that the decision in respect of the above matters would be in Bank's favour and accordingly no provision has been made in these unconsolidated financial statements with respect thereto. The additional tax liability in respect of gain on bargain purchase and non-adjustment of loss pertaining to HSBC Bank Middle East – Pakistan Branches is Rs 1,096 million and Rs 706 million respectively.

	Note	March 31, 2025 (Unaudited)	March 31, 2024 (Unaudited)
24 PROFIT / RETURN EARNED ON ISLAMIC FINANCING AND RELATED ASSETS, INVESTMENTS AND PLACEMENTS		Rupees in '000	
Profit / return earned on:			
On financing	24.1	43,686,706	40,223,327
On investments		62,816,897	77,929,824
On deposits / placements with financial institutions		1,112,926	1,051,687
		107,616,529	119,204,838

24.1 The income on Ijarah under IFAS 2 is net of takaful of Rs 773 million (March 31, 2024: Rs 443 million) recovered from customers.

	March 31, 2025 (Unaudited)	March 31, 2024 (Unaudited)
24.2 Profit / return recorded on financial assets measured at:	Rupees in '000	
- Fair Value through Profit and Loss	62,805	175,700
- Fair Value through OCI	59,838,080	66,486,700
- Amortized Cost	47,715,644	52,542,438
	107,616,529	119,204,838

	March 31, 2025 (Unaudited)	March 31, 2024 (Unaudited)
25 PROFIT / RETURN ON DEPOSITS AND OTHER DUES EXPENSED	Rupees in '000	
Deposits and other accounts	25.1 26,292,902	36,523,193
Sub-ordinated Sukuk	625,872	1,185,616
Shariah Compliant Open Market Operations and Standing Ceiling Facility from the State Bank of Pakistan	14,736,227	7,582,111
Other Musharakahs / Mudarabas	3,180,555	5,767,179
Amortisation of lease liability against right-of-use assets	990,562	885,479
	45,826,118	51,943,578

25.1 This includes conversion cost of Rs 253 million (March 31, 2024: conversion cost of Rs 715 million) against foreign currency deposits.

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	Note	March 31, 2025 (Unaudited)	March 31, 2024 (Unaudited)
26 FEE AND COMMISSION INCOME		Rupees in '000	
Trade related fees and commissions		1,503,033	1,240,717
Commission on guarantees		86,316	58,530
Branch banking customer fees		948,742	817,740
Credit related fees		25,809	18,565
Debit card related fees		2,222,389	2,309,432
Investment banking related fees		74,726	160,665
Commission on cash management		129,469	103,190
Commission on home remittances		233,618	46,208
Others (including wealth management related fees)		306,460	293,857
		5,530,562	5,048,904
27 GAIN / (LOSS) ON SECURITIES			
Realised - net	27.1	11,021	60,100
Unrealised - FVTPL / held for trading - net		144	-
		11,165	60,100
27.1 Realised gain on:			
Federal Government securities		11,021	60,100
Listed shares		-	-
		11,021	60,100
27.1.1 Net gain / (loss) on financial assets measured at FVOCI under IFRS 9		11,021	60,100
Net gain / (loss) on financial assets measured at FVTPL under IFRS 9		144	-
		11,165	60,100
28 OTHER INCOME			
Gain on termination of Islamic financing		179,850	175,649
Gain on sale of operating fixed assets		152,749	150,402
Others		442	1,922
		333,041	327,973
29 OPERATING EXPENSES			
Total compensation expense		8,901,009	12,066,114
Property expense			
Depreciation on right-of-use assets		710,569	621,521
Rent and taxes		40,858	49,211
Utilities cost (including electricity and diesel)		567,290	636,291
Security (including guards)		607,383	545,449
Repair and maintenance (including janitorial charges)		417,829	338,694
Depreciation		326,892	311,026
Others		5,260	33,877
		2,676,081	2,536,069
Information technology expenses			
Software maintenance		661,369	569,294
Hardware maintenance		117,779	88,950
Depreciation		488,979	369,548
Amortisation		174,676	154,995
Network charges		89,197	76,437
		1,532,000	1,259,224

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		March 31, 2025 (Unaudited)	March 31, 2024 (Unaudited)
		Rupees in '000	
Other operating expenses			
Stationery and printing (including debit card related cost)		730,849	547,281
Repairs and maintenance		376,656	155,744
Local transportation and car running		503,618	466,126
Depreciation on vehicles, equipment etc.		813,593	648,051
Legal and professional charges		72,524	20,376
NIFT and other clearing charges		91,374	91,526
Marketing, advertisement and publicity		578,820	511,849
Security charges - cash transportation		480,104	342,043
Communication (including courier)		1,005,074	598,663
Travelling and conveyance		116,740	85,000
Training and development		27,177	27,321
Donation		-	1,241
Fees, subscription and other charges		273,712	173,478
Brokerage and bank charges		114,909	85,465
Office supplies		149,544	177,505
Entertainment		22,064	19,745
Takaful expense		84,121	99,850
Outsourced services costs		7,294	6,707
Auditors' Remuneration		21,500	9,035
Fees and allowances to Shariah Board		16,534	10,643
Directors' fees and allowances		15,160	17,760
Others		182	95
		5,501,549	4,095,504
		18,610,639	19,956,911
	Note	March 31, 2025 (Unaudited)	March 31, 2024 (Unaudited)
		Rupees in '000	
30 OTHER CHARGES			
Penalties imposed by the State Bank of Pakistan		4,606	132,596
31 CREDIT LOSS ALLOWANCE / PROVISIONS AND WRITE OFFS - NET			
Net Credit loss allowance against			
Islamic financing and related assets - net	10.7.1	1,609,373	(21,347)
Net Credit loss allowance against diminution			
in value of investments	9.2	(348)	21,309
Net Credit loss allowance against cash and balance with treasury banks		(637)	8,202
Net Credit loss allowance against due from financial institutions		2	-
Net Credit loss allowance against balances with other banks		2,627	(698)
Net Credit loss allowance / provision / reversals against other assets	14.1.1	17,990	178,686
Net Credit loss allowance against off-balance sheet obligations	21.1	231,065	77,538
Provision / reversals against other liabilities		34,333	-
Recoveries of written off financings		(36,025)	(680)
		1,858,380	263,010
32 TAXATION			
Current	32.1	28,485,331	27,762,574
Deferred		(2,054,341)	(557,568)
		26,430,990	27,205,006

32.1 The Bank has recognised super tax charge of Rs 5,279 million (Q1 2024: Rs 5,443 million) in the current quarter based on taxable income for the quarter.

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	Note	March 31, 2025 (Unaudited)	March 31, 2024 (Unaudited)
33 BASIC EARNINGS PER SHARE		Rupees in '000	
Profit for the quarter		<u>22,047,598</u>	<u>24,942,675</u>
		(Number)	
Weighted average number of ordinary shares		<u>1,794,740,700</u>	<u>1,791,253,200</u>
		(Rupees)	
Basic earnings per share		<u>12.28</u>	<u>13.92</u>
34 DILUTED EARNINGS PER SHARE		Rupees in '000	
Profit for the quarter		<u>22,047,598</u>	<u>24,942,675</u>
		(Number)	
Weighted average number of ordinary shares	34.1	<u>1,803,833,914</u>	<u>1,799,242,599</u>
		(Rupees)	
Diluted earnings per share		<u>12.22</u>	<u>13.86</u>
34.1 Reconciliation of basic and diluted earning per share		(Number)	
Weighted average number of ordinary shares		<u>1,794,740,700</u>	<u>1,791,253,200</u>
Add: Diluted impact of Employee stock option scheme		<u>9,093,214</u>	<u>7,989,399</u>
Dilutive potential ordinary shares		<u>1,803,833,914</u>	<u>1,799,242,599</u>
35 CASH AND CASH EQUIVALENTS		Rupees in '000	
Cash and balances with treasury banks	6	<u>258,906,808</u>	<u>231,685,428</u>
Balances with other banks	7	<u>11,439,091</u>	<u>13,380,314</u>
Over Drawn Nostros	16	<u>(3,004,265)</u>	<u>(2,831,661)</u>
		<u>267,341,634</u>	<u>242,234,081</u>
36 FAIR VALUE MEASUREMENTS			

Fair value measurement defines fair value as the price that would be received from the sale of an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value of quoted securities other than those classified as amortised cost, is based on quoted market price. Quoted debt securities classified as amortised cost are carried at cost. The fair value of unquoted equity securities, other than investments in associates and subsidiaries, is determined on the basis of valuation methodologies. The fair value of unquoted debt securities, fixed term financings, other assets, other liabilities, fixed term deposits and due to financial institutions cannot be calculated with sufficient reliability due to the absence of a current and active market for these assets and liabilities and reliable data regarding market rates for similar instruments.

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In the opinion of the management, the fair value of the remaining financial assets and liabilities are not significantly different from their carrying values since these are either short-term in nature or, in the case of customer financings and deposits, are frequently repriced.

36.1 Fair value of financial assets

The Bank measures fair values using the following fair value hierarchy that reflects the significance of the inputs used in making the measurements:

Level 1: Fair value measurements using quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2: Fair value measurements using inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3: Fair value measurements using input for the asset or liability that are not based on observable market data (i.e. unobservable inputs).

March 31, 2025 (Unaudited)					
	Carrying value	Level 1	Fair value Level 2	Level 3	Total
			Rupees in '000		
On balance sheet financial instruments					
Financial assets - measured at fair value					
Investments					
- Federal Government securities	1,782,607,818	612,873,457	1,169,734,361	2,099,039	1,784,706,857
- Shares	10,248,030	9,509,243	68,204	670,583	10,248,030
- Non Government Sukuks	131,234,422	118,375,156	2,817,657	10,041,609	131,234,422
- Foreign Securities	4,019,936	-	4,009,547	10,389	4,019,936
	1,928,110,206	740,757,856	1,176,629,769	12,821,620	1,930,209,245
Financial assets - disclosed but not measured at fair value					
Investments					
- Federal Government securities	120,106,216	-	99,280,850	21,053,574	120,334,424
	120,106,216	-	99,280,850	21,053,574	120,334,424
	2,048,216,422	740,757,856	1,275,910,619	33,875,194	2,050,543,669
Off-balance sheet financial instruments - measured at fair value					
Forward purchase and sale of foreign exchange contracts	239,106	-	239,106	-	239,106
December 31, 2024 (Audited)					
	Carrying value	Level 1	Fair value Level 2	Level 3	Total
			Rupees in '000		
On balance sheet financial instruments					
Financial assets - measured at fair value					
Investments					
- Federal Government securities	1,359,467,076	555,352,527	799,336,050	4,778,499	1,359,467,076
- Shares	11,197,572	10,513,112	66,633	617,827	11,197,572
- Non Government Sukuks	131,254,670	118,045,677	2,897,726	10,311,267	131,254,670
- Foreign Securities	3,968,059	-	3,957,670	10,389	3,968,059
	1,505,887,377	683,911,316	806,258,079	15,717,982	1,505,887,377
Financial assets - disclosed but not measured at fair value					
Investments					
- Federal Government securities	362,725,910	-	343,031,635	21,053,574	364,085,209
	362,725,910	-	343,031,635	21,053,574	364,085,209
	1,868,613,287	683,911,316	1,149,289,714	36,771,556	1,869,972,586
Off-balance sheet financial instruments - measured at fair value					
Forward purchase and sale of foreign exchange contracts	685,420	-	685,420	-	685,420

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36.2 Fair value of non-financial assets

Fair value of non-financial assets		March 31, 2025 (Unaudited)			
	Carrying value	Fair value			Total
		Level 1	Level 2	Level 3	
		Rupees in '000			
Non-banking assets acquired in satisfaction of claims	498,450	-	-	498,450	498,450
	498,450	-	-	498,450	498,450
		December 31, 2024 (Audited)			
	Carrying value	Fair value			Total
		Level 1	Level 2	Level 3	
		Rupees in '000			
Non-banking assets acquired in satisfaction of claims	498,450	-	-	498,450	498,450
	498,450	-	-	498,450	498,450

Non-banking assets acquired in satisfactions of claims are carried at revalued amounts (level 3 measurement) determined by professional valuers based on their assessment of the market values.

Valuation techniques used in determination of fair values

Item	Valuation approach and input used
Listed Securities	The valuation has been determined through closing rates of Pakistan Stock Exchange.
GoP Ijarah Sukuk	The fair value of GoP Ijarah sukuks listed on Pakistan Stock Exchange has been determined through closing rates of Pakistan Stock Exchange. The fair value of other GoP Ijarah sukuks are derived using PKISRV rates. The PKISRV rates are announced by FMA (Financial Market Association) through Reuters. The rates announced are simple average of quotes received from eight different pre-defined / approved dealers / brokers.
Foreign Sukuk	These are measured at fair value using the rates published by the valuation expert (Bloomberg).
Forward foreign exchange contracts	The valuation has been determined by interpolating the mid rates announced by SBP.
Non-banking assets acquired in satisfaction of claims	NBAs are valued by professionally qualified valuers as per the accounting policy disclosed in the unconsolidated financial statements of the Bank for the year ended December 31, 2024.
Mutual Funds	The valuation has been determined based on net asset values (NAV) declared by respective funds.
Unquoted Equity Securities	The value of unquoted equity securities are determined by using different methods for different securities. Fair value of investment in Sapphire Electric Company Limited has been determined by Dividend Discount Model (DDM) by using constant dividends streams of the entity by using various key assumptions considering economic and market conditions. Key assumptions include discount rate and terminal growth rate (if applicable).
Corporate sukuks	The valuation has been determined through closing rates announced by FMA (Financial Market Association) through Reuters.

The Bank's policy is to recognise transfers into and out of the different fair value hierarchy levels at the date the event or change in circumstances that caused the transfer occurred.

There were no transfers between levels 1 and 2 during the quarter.

Fair value of Islamic financing and related assets, unquoted sukuk, other assets, other liabilities and fixed term deposits and other accounts and due to financial institutions cannot be calculated with sufficient reliability due to absence of current and active market for such assets and liabilities and reliable data regarding market rates for similar instruments.

In the opinion of the management, the fair value of the remaining financial assets and liabilities are not significantly different from their carrying values since these assets and liabilities are short term in nature or in the case of financings and deposits are frequently repriced.

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37 SEGMENT INFORMATION

37.1 Segment Details with respect to Business Activities

Segment Details with respect to Business Activities	2025					
	Corporate and Commercial banking	Retail Banking	Trading & Sales	Others	Inter-segment Eliminations	Total
	Rupees in '000					
Profit and loss account for the quarter ended March 31, 2025 (Unaudited)						
External Funded Revenue	41,101,056	3,049,802	63,465,671	-	-	107,616,529
External Non funded Revenue	1,745,697	1,588,865	2,314,764	2,528,476	-	8,177,802
Inter segment revenue - net	-	78,726,497	-	74,388	(78,800,885)	-
Total Income	42,846,753	83,365,164	65,780,435	2,602,864	(78,800,885)	115,794,331
External cost of funds	1,620,769	27,539,540	16,665,809	-	-	45,826,118
Segment direct expenses	511,656	16,897,309	242,067	1,980,213	-	19,631,245
Inter segment expense allocation	36,513,718	-	42,287,167	-	(78,800,885)	-
Total expenses	38,646,143	44,436,849	59,195,043	1,980,213	(78,800,885)	65,457,363
Net ECL / Provisions / (Reversals) and write offs - net	1,839,664	(16,119)	2,427	32,408	-	1,858,380
Profit before tax	2,360,946	38,944,434	6,582,965	590,243	-	48,478,588
Statement of financial position as at March 31, 2025 (Unaudited)						
Cash and Bank balances	2,877,264	271,406,011	-	(3,937,376)	-	270,345,899
Due from financial institutions - net	-	-	36,464,297	-	-	36,464,297
Investments - net	12,858,878	-	2,037,279,877	-	-	2,050,138,755
Net inter segment lending	-	2,678,443,604	-	7,285,640	(2,685,729,244)	-
Islamic financings and related assets - net	1,305,605,605	94,719,376	-	-	-	1,400,324,981
Others	44,869,061	95,358,493	111,073,517	17,837,659	-	269,138,730
Total Assets	1,366,210,808	3,139,927,484	2,184,817,691	21,185,923	(2,685,729,244)	4,026,412,662
Due to financial institutions	101,908,285	14,481,083	494,819,792	-	-	611,209,160
Deposits and other accounts	-	2,880,267,566	-	-	-	2,880,267,566
Subordinated Sukuk	20,990,000	-	-	-	-	20,990,000
Net inter segment borrowing	1,130,851,034	-	1,554,878,210	-	(2,685,729,244)	-
Others	28,527,004	216,827,126	893,298	20,331,946	-	266,579,374
Total liabilities	1,282,276,323	3,111,575,775	2,050,591,300	20,331,946	(2,685,729,244)	3,779,046,100
Equity	83,934,485	28,351,709	134,226,391	853,977	-	247,366,562
Total Equity and liabilities	1,366,210,808	3,139,927,484	2,184,817,691	21,185,923	(2,685,729,244)	4,026,412,662
Contingencies and Commitments	1,560,047,079	3,398,969	300,547,049	-	-	1,863,993,097
2024						
	Corporate and Commercial banking	Retail Banking	Trading & Sales	Others	Inter-segment Eliminations	Total
	Rupees in '000					
Profit and loss account for the quarter ended March 31, 2024 (Unaudited)						
External Funded Revenue	38,511,303	2,613,360	78,080,175	-	-	119,204,838
External Non funded Revenue	1,539,225	1,235,024	980,678	2,602,627	-	6,357,554
Inter segment revenue - net	-	110,564,239	-	-	(110,564,239)	-
Total Income	40,050,528	114,412,623	79,060,853	2,602,627	(110,564,239)	125,562,392
External Cost of funds	4,226,918	37,611,447	10,105,213	-	-	51,943,578
Segment direct expenses	608,729	19,327,372	245,191	1,026,831	-	21,208,123
Inter segment expense allocation	33,106,873	-	77,393,431	63,935	(110,564,239)	-
Total expenses	37,942,520	56,938,819	87,743,835	1,090,766	(110,564,239)	73,151,701
Provision and write offs - net	202,498	(65,877)	(55,628)	182,017	-	263,010
Profit before tax	1,905,510	57,539,681	(8,627,354)	1,329,844	-	52,147,681
Statement of financial position as at December 31, 2024 (Audited)						
Cash and Bank balances	2,701,418	259,368,426	-	12,089,364	-	274,159,208
Due from financial institutions - net	-	-	34,964,299	-	-	34,964,299
Investments - net	13,208,564	-	1,857,327,056	-	-	1,870,535,620
Net inter segment lending	-	2,447,257,940	-	16,951,850	(2,464,209,790)	-
Islamic financings and related assets - net	1,432,227,514	82,528,422	-	-	-	1,514,755,936
Others	51,394,838	92,412,523	60,257,206	1,931,700	-	205,996,267
Total assets	1,499,532,334	2,881,567,311	1,952,548,561	30,972,914	(2,464,209,790)	3,900,411,330
Due to financial institutions	109,871,661	13,102,601	599,312,056	-	-	722,286,318
Deposits and other accounts	-	2,584,871,300	-	-	-	2,584,871,300
Subordinated Sukuk	20,990,000	-	-	-	-	20,990,000
Net inter segment borrowing	1,236,595,417	-	1,227,614,373	-	(2,464,209,790)	-
Others	37,120,929	256,091,800	1,981,628	30,085,063	-	325,279,420
Total liabilities	1,404,578,007	2,854,065,701	1,828,908,057	30,085,063	(2,464,209,790)	3,653,427,038
Equity	94,954,327	27,501,610	123,640,504	887,851	-	246,984,292
Total Equity and liabilities	1,499,532,334	2,881,567,311	1,952,548,561	30,972,914	(2,464,209,790)	3,900,411,330
Contingencies and Commitments	1,522,044,807	87,751,572	280,886,420	-	-	1,890,682,799

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FOR THE QUARTER ENDED MARCH 31, 2025**

38 RELATED PARTY TRANSACTIONS

38.1 Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operational decisions and includes a subsidiary company, associated companies, retirement benefit funds, directors, and key management personnel and their close family members.

38.2 The Banks enters into transactions with related parties in the ordinary course of business and on substantially the same terms as for comparable transactions with person of similar standing. Contributions to and accruals in respect of staff retirement benefits and other benefit plans are made in accordance with the actuarial valuations / terms of the contribution plan. Remuneration and other benefit to the key management personnel is determined in accordance with the terms of their appointment.

38.3 Subsidiary company

- Al Meezan Investment Management Limited
- Meezan Exchange Company (Private) Limited

38.4 Associates

Associates include mutual funds managed by Al Meezan Investment Management Limited and entities having common directorship with the Board. However, entities are not considered related party only if common director is an independent director working on both the Boards.

38.5 Key management personnel

- President and Chief Executive Officer
- Deputy Chief Executive Officer

38.6 Details of transactions with related parties and balances with them as at the quarter-end as are follows. Balances pertaining to parties that were related at the beginning of the year but ceased to be related during any part of the current quarter are not reflected as part of the closing balance. However, new related parties (as applicable) have been added during the quarter. The same are accounted for through the movement presented above.

	Total		Subsidiaries		Associates		Directors and close family members		Key management personnel and close family members		Other related parties	
	March 31, 2025	Dec 31, 2024	March 31, 2025	Dec 31, 2024	March 31, 2025	Dec 31, 2024	March 31, 2025	Dec 31, 2024	March 31, 2025	Dec 31, 2024	March 31, 2025	Dec 31, 2024
	(Unaudited)	(Audited)	(Unaudited)	(Audited)	(Unaudited)	(Audited)	(Unaudited)	(Audited)	(Unaudited)	(Audited)	(Unaudited)	(Audited)
Rupees in '000												
Islamic financing and related assets												
At January 1,	82,900	33,002,164	-	-	-	32,914,968	-	-	82,900	87,196	-	-
Addition during the quarter / year	-	3,522,664	-	-	-	3,522,664	-	-	-	-	-	-
Repayments during the quarter / year	(1,125)	(36,441,928)	-	-	-	(36,437,632)	-	-	(1,125)	(4,296)	-	-
At March 31 / December 31	81,775	82,900	-	-	-	-	-	-	81,775	82,900	-	-
Investments												
At January 1,	1,922,333	908,302	1,063,050	63,050	859,283	845,252	-	-	-	-	-	-
Addition during the quarter / year	-	1,015,000	-	1,000,000	-	15,000	-	-	-	-	-	-
Repayment / redemption during the quarter / year	-	(969)	-	-	-	(969)	-	-	-	-	-	-
At March 31 / December 31	1,922,333	1,922,333	1,063,050	1,063,050	859,283	859,283	-	-	-	-	-	-
Deposits	13,497,286	8,477,554	292,135	287,629	9,622,946	6,758,697	186,092	251,138	166,020	75,745	3,230,093	1,104,345
Other Assets												
Profit receivable on financing / investments / placements	45	44	-	-	-	-	-	-	45	44	-	-
Fee and Other Receivable	250,287	294,119	167,490	235,786	82,797	58,333	-	-	-	-	-	-
Provision against ECL	352	45	23	32	318	8	-	-	11	5	-	-

**NOTES TO AND FORMING PART OF THE CONDENSED INTERIM UNCONSOLIDATED
FINANCIAL INFORMATION (UNAUDITED)
FOR THE QUARTER ENDED MARCH 31, 2025**

	Total		Subsidiaries		Associates		Directors and close family members		Key management personnel and close family members		Other related parties	
	March 31, 2025 (Unaudited)	Dec 31, 2024 (Audited)	March 31, 2025 (Unaudited)	Dec 31, 2024 (Audited)	March 31, 2025 (Unaudited)	Dec 31, 2024 (Audited)	March 31, 2025 (Unaudited)	Dec 31, 2024 (Audited)	March 31, 2025 (Unaudited)	Dec 31, 2024 (Audited)	March 31, 2025 (Unaudited)	Dec 31, 2024 (Audited)
Rupees in '000												
Due to financial institutions												
At January 1,	47,130,000	-	-	-	47,130,000	-	-	-	-	-	-	-
Addition during the quarter / year	146,300,000	643,630,000	-	-	146,300,000	643,630,000	-	-	-	-	-	-
Repayment / redemption / deletion during the quarter / year	(182,730,000)	(596,500,000)	-	-	(182,730,000)	(596,500,000)	-	-	-	-	-	-
At March 31 / December 31	10,700,000	47,130,000	-	-	10,700,000	47,130,000	-	-	-	-	-	-
Sub-ordinated Sukuk												
At January 1,	210,000	210,000	-	-	210,000	210,000	-	-	-	-	-	-
Addition during the quarter / year	-	-	-	-	-	-	-	-	-	-	-	-
Repayment / redemption / deletion during the quarter / year	-	-	-	-	-	-	-	-	-	-	-	-
At March 31 / December 31	210,000	210,000	-	-	210,000	210,000	-	-	-	-	-	-
Other liabilities												
Payable to defined benefit plan	1,262,286	2,153,351	-	-	-	-	-	-	839,140	808,528	423,146	1,344,823
Accrued Expenses	14,010	4,550	6,600	2,200	-	-	7,410	2,350	-	-	-	-
Profit payable on musharakah acceptance	16,553	256,364	-	-	16,553	256,364	-	-	-	-	-	-
Contingencies and Commitments												
Letters of Guarantee (unfunded)	2,500,100	100	100	100	2,500,000	-	-	-	-	-	-	-

**NOTES TO AND FORMING PART OF THE CONDENSED INTERIM UNCONSOLIDATED
FINANCIAL INFORMATION (UNAUDITED)
FOR THE QUARTER ENDED MARCH 31, 2025**

Transactions, income and expenses	Total		Subsidiaries		Associates		Directors and close family members		Key management personnel and close family members		Other related parties	
	March 31, 2025	March 31, 2024	March 31, 2025	March 31, 2024	March 31, 2025	March 31, 2024	March 31, 2025	March 31, 2024	March 31, 2025	March 31, 2024	March 31, 2025	March 31, 2024
	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)
Rupees in '000												
Profit earned on financing / investments / placements	1,018	1,790,505	-	-	-	1,789,423	-	-	1,018	1,082	-	-
Fees and other income earned	296,446	289,872	211,029	110,461	85,309	179,303	1	1	47	67	60	40
Dividend income earned	650,000	260,000	650,000	260,000	-	-	-	-	-	-	-	-
Return on deposits / acceptance expensed	541,818	416,253	2,739	2,596	514,151	389,896	1,241	1,130	1,367	4,370	22,320	18,261
Charge for defined benefit plan	423,147	186,467	-	-	-	-	-	-	-	-	423,147	186,467
Contribution to defined contribution plan	256,086	175,863	-	-	-	-	-	-	-	-	256,086	175,863
Contribution to staff benevolent fund	95,751	68,712	-	-	-	-	-	-	-	-	95,751	68,712
ECL charge / (reversals)	306	3,617	(9)	22	310	3,584	-	-	5	11	-	-
Fees expensed	7,401	7,281	7,294	6,707	107	574	-	-	-	-	-	-
Recovery of expenses	7,250	32,474	7,250	32,474	-	-	-	-	-	-	-	-
Purchase of fixed assets	-	32,845	-	-	-	32,845	-	-	-	-	-	-
Remuneration to key management personnel	90,434	97,952	-	-	-	-	-	-	90,434	97,952	-	-
Fee to non-executive directors	15,160	17,760	-	-	-	-	15,160	17,760	-	-	-	-

**NOTES TO AND FORMING PART OF THE CONDENSED INTERIM UNCONSOLIDATED
FINANCIAL INFORMATION (UNAUDITED)
FOR THE QUARTER ENDED MARCH 31, 2025**

**39 CAPITAL ADEQUACY, LEVERAGE RATIO &
LIQUIDITY REQUIREMENTS**

	March 31, 2025 (Unaudited)	December 31, 2024 (Audited)
	Rupees in '000	
Minimum Capital Requirement (MCR)		
Paid-up capital (net of losses)	<u>17,947,407</u>	<u>17,947,407</u>
Capital Adequacy Ratio		
Eligible Common Equity Tier 1 (CET 1) Capital	<u>231,579,888</u>	<u>221,804,077</u>
Eligible Additional Tier 1 (ADT 1) Capital	<u>7,000,000</u>	<u>7,000,000</u>
Total Eligible Tier 1 Capital	<u>238,579,888</u>	<u>228,804,077</u>
Eligible Tier 2 Capital	<u>34,678,979</u>	<u>47,135,239</u>
Total Eligible Capital (Tier 1 + Tier 2)	<u>273,258,867</u>	<u>275,939,316</u>
Risk weighted assets (RWAs):		
Credit Risk	<u>706,083,372</u>	<u>880,323,774</u>
Market Risk	<u>32,127,595</u>	<u>36,391,197</u>
Operational Risk	<u>439,129,711</u>	<u>439,129,711</u>
Total	<u>1,177,340,678</u>	<u>1,355,844,682</u>
Common Equity Tier 1 Capital Adequacy ratio	<u>19.67%</u>	<u>16.36%</u>
Tier 1 Capital Adequacy Ratio	<u>20.26%</u>	<u>16.88%</u>
Total Capital Adequacy Ratio	<u>23.21%</u>	<u>20.35%</u>
Leverage ratio (LR):		
Tier-1 Capital	<u>238,579,888</u>	<u>228,804,077</u>
Total Exposures	<u>4,548,449,793</u>	<u>4,186,333,675</u>
Leverage Ratio	<u>5.25%</u>	<u>5.47%</u>
Liquidity Coverage Ratio (LCR):		
Total High Quality Liquid Assets	<u>1,560,449,721</u>	<u>1,320,749,145</u>
Total Net Cash Outflow	<u>534,338,468</u>	<u>433,217,397</u>
Liquidity Coverage Ratio	<u>292%</u>	<u>305%</u>
Net Stable Funding Ratio (NSFR):		
Total Available Stable Funding	<u>2,800,921,958</u>	<u>2,572,046,020</u>
Total Required Stable Funding	<u>1,173,901,948</u>	<u>1,453,475,186</u>
Net Stable Funding Ratio	<u>239%</u>	<u>177%</u>

40 RECLASSIFICATIONS

Corresponding figures have been rearranged and reclassified where necessary for better presentation.

41 NON-ADJUSTING EVENT

The Board of Directors in their meeting held on April 21, 2025 has announced interim cash dividend of Rs 7 per share (70%). This condensed interim unconsolidated financial information does not include the effect of this appropriation which will be accounted for subsequent to the quarter end.

42 DATE OF AUTHORISATION

This condensed interim financial information were authorised for issue on April 21, 2025 by the Board of Directors of the Bank.

Riyadh S. A. A. Edrees
Chairman

Irfan Siddiqui
President & Chief Executive

Mohammad Abdul Aleem
Director

Tariq Mahmood Pasha
Director

Syed Imran Ali Shah
Chief Financial Officer

**CONDENSED INTERIM CONSOLIDATED
FINANCIAL STATEMENTS**

**CONDENSED INTERIM CONSOLIDATED
STATEMENT OF FINANCIAL POSITION
AS AT MARCH 31, 2025**

	March 31, 2025 (Unaudited)	December 31, 2024 (Audited)
	Rupees in '000	
ASSETS		
Cash and balances with treasury banks	259,164,353	260,873,367
Balances with other banks	11,322,871	13,290,726
Due from financial institutions	36,464,297	34,964,299
Investments	2,058,700,752	1,878,852,841
Islamic financing and related assets	1,400,324,981	1,514,755,936
Property and equipment	47,988,240	47,226,503
Right-of-use assets	21,219,825	21,622,622
Intangible assets	2,952,946	2,960,432
Deferred tax asset	-	-
Other assets	198,524,182	135,980,074
Total Assets	4,036,662,447	3,910,526,800
LIABILITIES		
Bills payable	50,155,739	112,605,407
Due to financial institutions	611,209,160	722,286,318
Deposits and other accounts	2,879,975,431	2,584,583,671
Lease liability against right-of-use assets	26,434,194	26,286,276
Sub-ordinated sukuk	20,990,000	20,990,000
Deferred tax liabilities	3,188,424	15,530,758
Other liabilities	190,676,316	174,614,150
Total Liabilities	3,782,629,264	3,656,896,580
NET ASSETS	254,033,183	253,630,220
REPRESENTED BY		
Share capital	17,947,407	17,947,407
Reserves	50,388,642	48,026,583
Surplus on revaluation of assets - net of tax	12,662,937	22,141,192
Unappropriated profit	171,159,100	163,601,395
	252,158,086	251,716,577
Non-controlling Interest	1,875,097	1,913,643
	254,033,183	253,630,220

The annexed notes 1 to 3 form an integral part of these condensed interim consolidated financial statements.

Riyadh S. A. A. Edrees
Chairman

Irfan Siddiqui
President & Chief Executive

Mohammad Abdul Aleem
Director

Tariq Mahmood Pasha
Director

Syed Imran Ali Shah
Chief Financial Officer

CONDENSED INTERIM CONSOLIDATED

STATEMENT OF PROFIT AND LOSS ACCOUNT (UNAUDITED) FOR THE QUARTER ENDED MARCH 31, 2025

	Quarter ended March 31, 2025	Quarter ended March 31, 2024
	Rupees in '000	
Profit / return earned on Islamic financing and related assets, investments and placements	107,619,969	119,204,166
Profit on deposits and other dues expensed	45,837,453	51,950,713
Net profit / return	61,782,516	67,253,453
OTHER INCOME		
Fee and commission income	7,211,977	5,914,978
Dividend income	57,136	182,647
Foreign exchange income	1,597,750	477,930
Gain / (loss) on securities	11,165	60,100
Other income	364,089	329,270
Total other income	9,242,117	6,964,925
Total income	71,024,633	74,218,378
OTHER EXPENSES		
Operating expenses	19,167,397	20,598,165
Workers Welfare Fund	1,043,979	1,128,469
Other charges	8,763	132,596
Total other expenses	20,220,139	21,859,230
Share of profit of associates	50,804,494	52,359,148
Profit before credit loss allowance / provisions	338,492	374,589
	51,142,986	52,733,737
Credit loss allowance / provisions and write offs - net	1,858,380	263,010
Extra ordinary / unusual items	-	-
Profit Before Taxation	49,284,606	52,470,727
Taxation	26,866,315	27,390,550
Profit After Taxation	22,418,291	25,080,177
Attributable to:		
Shareholders of the Holding company	22,106,837	24,956,287
Non-controlling interest	311,454	123,890
	22,418,291	25,080,177
	Rupees	
Basic earnings per share	12.32	13.93
Diluted earnings per share	12.26	13.87

The annexed notes 1 to 3 form an integral part of these condensed interim consolidated financial statements.

Riyadh S. A. A. Edrees
Chairman

Irfan Siddiqui
President & Chief Executive

Mohammad Abdul Aleem
Director

Tariq Mahmood Pasha
Director

Syed Imran Ali Shah
Chief Financial Officer

CONDENSED INTERIM CONSOLIDATED**STATEMENT OF COMPREHENSIVE INCOME (UNAUDITED)
FOR THE QUARTER ENDED MARCH 31, 2025**

	Quarter ended March 31, 2025	Quarter ended March 31, 2024
	Rupees in '000	
Profit after taxation for the period attributable to:		
Shareholders of the Holding company	22,106,837	24,956,287
Non-controlling interest	311,454	123,890
	22,418,291	25,080,177
Other Comprehensive Income / (loss)		
Items that may be reclassified to statement of profit and loss account in subsequent periods:		
- Movement in deficit on revaluation of debt investments through FVOCI - net of tax	(9,371,091)	(1,454,786)
- Gain on derecognition of Debt investments at FVOCI – reclassified to profit or loss account - net of tax	(5,180)	(30,651)
Items that will not be reclassified to statement of profit and loss account in subsequent periods:		
- Movement in surplus on revaluation of equity investments through FVOCI - net of tax	116,829	79,188
Total comprehensive income for the period	13,158,849	23,673,928
Attributable to:		
Shareholders of the Holding company	12,847,395	23,550,038
Non-controlling interest	311,454	123,890
	13,158,849	23,673,928

The annexed notes 1 to 3 form an integral part of these condensed interim consolidated financial statements.

Riyadh S. A. A. Edrees
Chairman

Irfan Siddiqui
President & Chief Executive

Mohammad Abdul Aleem
Director

Tariq Mahmood Pasha
Director

Syed Imran Ali Shah
Chief Financial Officer

CONDENSED INTERIM CONSOLIDATED

STATEMENT OF CHANGES IN EQUITY

FOR THE QUARTER ENDED MARCH 31, 2025

	Capital reserves					Revenue reserve	Surplus / (deficit) on revaluation of		Unappropriated profit	Non controlling interest	Total
	Share capital	Share premium	Statutory reserve *	Non-Distributable Capital Reserve - Gain on Bargain Purchase	Employee share option compensation reserve	General reserve	Investments	Non-banking Assets			
	Rupees in '000										
Balance as at January 01, 2024	17,912,532	2,626,441	30,617,082	3,117,547	654,321	91,082	10,920,597	-	122,528,058	1,549,609	190,017,269
Impact of adoption of IFRS 9 - net of tax	-	-	-	-	-	-	1,188,390	-	25,760	-	1,214,150
Profit after taxation for the quarter ended March 31, 2024	-	-	-	-	-	-	-	-	24,956,287	123,890	25,080,177
Other Comprehensive loss for the quarter ended March 31, 2024 - net of tax											
- Movement in deficit on revaluation of investments in debt instruments at FVOCI - net of tax	-	-	-	-	-	-	(1,454,786)	-	-	-	(1,454,786)
- Gain on sale of debt investments carried at FVOCI reclassified to profit or loss account - net of tax	-	-	-	-	-	-	(30,651)	-	-	-	(30,651)
- Transfer from revaluation of assets to unappropriated profit - net of tax	-	-	-	-	-	-	(61,393)	-	61,393	-	-
- Movement in surplus on revaluation of equity investments carried at FVOCI - net of tax	-	-	-	-	-	-	79,188	-	-	-	79,188
Recognition of share based compensation	-	-	-	-	108,854	-	(1,467,642)	-	61,393	-	(1,406,249)
Other appropriations											
Transfer to statutory reserve*	-	-	2,494,268	-	-	-	-	-	(2,494,268)	-	-
Transactions with owners recognised directly in equity											
Final cash dividend for the year 2023 @ Rs 8 per share	-	-	-	-	-	-	-	-	(14,330,026)	-	(14,330,026)
Dividend payout by Subsidiary	-	-	-	-	-	-	-	-	-	(140,000)	(140,000)
Balance as at March 31, 2024	17,912,532	2,626,441	33,111,350	3,117,547	763,175	91,082	10,641,345	-	130,747,204	1,533,499	200,544,175
Profit after taxation for the nine months period ended December 31, 2024	-	-	-	-	-	-	-	-	77,732,794	906,364	78,639,158
Other Comprehensive income for the nine months period ended December 31, 2024 - net of tax											
- Movement in surplus on revaluation of investments in debt instruments at FVOCI - net of tax	-	-	-	-	-	-	11,546,474	-	-	-	11,546,474
- Gain on sale of debt investments carried at FVOCI reclassified to profit or loss account - net of tax	-	-	-	-	-	-	(1,582,829)	-	-	-	(1,582,829)
- Transfer from revaluation of assets to unappropriated profit - net of tax	-	-	-	-	-	-	(615,745)	-	615,745	-	-
- Remeasurement loss on valuation of employee retirement benefits	-	-	-	-	-	-	-	-	(218,153)	(5,070)	(223,223)
- Movement in surplus on revaluation of equity investments carried at FVOCI - net of tax	-	-	-	-	-	-	2,151,947	-	-	-	2,151,947
Total other comprehensive income / (loss) - net of tax	-	-	-	-	-	-	11,499,847	-	397,592	(5,070)	11,892,369
Recognition of share based compensation	-	-	-	-	481,923	-	-	-	-	-	481,923
Other appropriations											
Transfer to statutory reserve*	-	-	7,656,484	-	-	-	-	-	(7,656,484)	-	-
Transactions with owners recognised directly in equity											
First interim cash dividend for the year 2024 @ Rs 7 per share	-	-	-	-	-	-	-	-	(12,538,773)	-	(12,538,773)
Second interim cash dividend for the year 2024 @ Rs 7 per share	-	-	-	-	-	-	-	-	(12,563,185)	-	(12,563,185)
Third interim cash dividend for the year 2024 @ Rs 7 per share	-	-	-	-	-	-	-	-	(12,563,185)	-	(12,563,185)
Dividend payout by Subsidiary	-	-	-	-	-	-	-	-	(37,665,143)	-	(37,665,143)
	-	-	-	-	-	-	-	-	-	(521,150)	(521,150)
Issue of 3,487,520 shares under the Employees shares option scheme	34,875	477,812	-	-	(299,231)	-	-	-	45,432	-	258,888
Balance as at December 31, 2024	17,947,407	3,104,253	40,767,834	3,117,547	945,867	91,082	22,141,192	-	163,601,395	1,913,643	253,630,220

CONDENSED INTERIM CONSOLIDATED

STATEMENT OF CHANGES IN EQUITY

FOR THE QUARTER ENDED MARCH 31, 2025

	Capital reserves					Revenue reserve	Surplus / (deficit) on revaluation of		Unappropriated profit	Non controlling interest	Total
	Share capital	Share premium	Statutory reserve *	Non-Distributable Capital Reserve - Gain on Bargain Purchase	Employee share option compensation reserve	General reserve	Investments	Non-banking Assets			
	Rupees in '000										
Balance as at December 31, 2024	17,947,407	3,104,253	40,767,834	3,117,547	945,867	91,082	22,141,192	-	163,601,395	1,913,643	253,630,220
Profit after taxation for the quarter ended March 31, 2025	-	-	-	-	-	-	-	-	22,106,837	311,454	22,418,291
Other Comprehensive loss for the quarter ended March 31, 2025 - net of tax											
- Movement in deficit on revaluation of investments in debt instruments at FVOCI - net of tax	-	-	-	-	-	-	(9,371,091)	-	-	-	(9,371,091)
- Gain on derecognition of Debt investments at FVOCI - reclassified to profit or loss - net of tax	-	-	-	-	-	-	(5,180)	-	-	-	(5,180)
- Transfer from revaluation of assets to unappropriated profit - net of tax	-	-	-	-	-	-	(218,813)	-	218,813	-	-
- Movement in surplus on revaluation of investments in equity instruments at FVOCI - net of tax	-	-	-	-	-	-	116,829	-	-	-	116,829
Total other comprehensive loss - net of tax	-	-	-	-	-	-	(9,478,255)	-	218,813	-	(9,259,442)
Recognition of share based compensation	-	-	-	-	157,299	-	-	-	-	-	157,299
Other appropriations											
Transfer to statutory reserve*	-	-	2,204,760	-	-	-	-	-	(2,204,760)	-	-
Transactions with owners recognised directly in equity											
Final cash dividend for the year 2024 @ Rs 7 per share	-	-	-	-	-	-	-	-	(12,563,185)	-	(12,563,185)
Dividend payout by Subsidiary	-	-	-	-	-	-	-	-	-	(350,000)	(350,000)
Balance as at March 31, 2025	<u>17,947,407</u>	<u>3,104,253</u>	<u>42,972,594</u>	<u>3,117,547</u>	<u>1,103,166</u>	<u>91,082</u>	<u>12,662,937</u>	<u>-</u>	<u>171,159,100</u>	<u>1,875,097</u>	<u>254,033,183</u>

* This represents reserve created under section 21(i)(b) of the Banking Companies Ordinance, 1962.

The annexed notes 1 to 3 form an integral part of these condensed interim consolidated financial statements.

Riyadh S. A. A. Edrees
Chairman

Irfan Siddiqui
President & Chief Executive

Mohammad Abdul Aleem
Director

Tariq Mahmood Pasha
Director

Syed Imran Ali Shah
Chief Financial Officer

CONDENSED INTERIM CONSOLIDATED

CASH FLOW STATEMENT (UNAUDITED)

FOR THE QUARTER ENDED MARCH 31, 2025

	Quarter ended March 31, 2025	Quarter ended March 31, 2024
	Rupees in '000	
CASH FLOW FROM OPERATING ACTIVITIES		
Profit before taxation	49,284,606	52,470,727
Less: Dividend income	(57,136)	(182,647)
	<u>49,227,470</u>	<u>52,288,080</u>
Adjustments for non-cash charges and other items:		
Depreciation	1,660,772	1,350,305
Net profit / return	(62,787,295)	(68,451,535)
Amortization	185,899	165,435
Non cash items related to right-of-use assets	1,741,762	1,536,943
Credit loss allowance and write offs - net	1,858,380	263,010
Share based compensation expense	157,299	108,854
Gain on sale of property and equipment	(154,129)	(151,061)
Unrealised loss - FVTPL	(144)	-
Share of results of associates	(338,492)	(374,589)
	<u>(57,675,948)</u>	<u>(65,552,638)</u>
	<u>(8,448,478)</u>	<u>(13,264,558)</u>
Increase in operating assets		
Due from financial institutions	(1,500,000)	-
Islamic financing and related assets	112,286,504	61,134,897
Other assets	(9,273,502)	(5,982,221)
	<u>101,513,002</u>	<u>55,152,676</u>
Increase in operating liabilities		
Bills payable	(62,449,668)	(385,912)
Due to financial institutions	(111,858,631)	(44,807,668)
Deposits and other accounts	295,391,760	51,592,937
Other liabilities	(11,986,017)	(5,981,387)
	<u>109,097,444</u>	<u>417,970</u>
	<u>202,161,968</u>	<u>42,306,088</u>
Net profit / return received	55,648,662	76,760,033
Net profit / return paid	(46,458,409)	(51,183,470)
Income tax paid	(12,480,919)	(20,770,278)
Net cash generated from operating activities	<u>198,871,302</u>	<u>47,112,373</u>
CASH FLOW FROM INVESTING ACTIVITIES		
Net investments in amortized cost securities	(33,211)	18,618
Net investments in securities classified as FVOCI	(201,994,398)	(54,123,426)
Net divestment in securities classified as FVPL	2,678,599	3,189,096
Net investments in associates	93,713	(209,860)
Dividends received	57,136	182,647
Investments in property and equipment	(2,875,170)	(4,306,077)
Investments in intangible assets	(178,413)	(66,007)
Proceeds from sale of property and equipment	326,165	247,683
Net cash used in investing activities	<u>(201,925,579)</u>	<u>(55,067,326)</u>
CASH FLOW FROM FINANCING ACTIVITIES		
Payment of lease liability against right-of-use assets	(1,191,047)	(1,014,789)
Dividend paid to equity shareholders of the Bank	(530)	(370)
Dividend paid to non-controlling interest	(350,000)	(140,000)
Net cash used in financing activities	<u>(1,541,577)</u>	<u>(1,155,159)</u>
Increase in cash and cash equivalents	<u>(4,595,854)</u>	<u>(9,110,112)</u>
ECL impact of IFRS 9 on cash and cash equivalents	(1,990)	(43,831)
Cash and cash equivalents at the beginning of the quarter	<u>272,080,803</u>	<u>251,391,156</u>
Cash and cash equivalents at the end of the quarter	<u>267,482,959</u>	<u>242,237,213</u>

The annexed notes 1 to 3 form an integral part of these condensed interim consolidated financial statements.

Riyadh S. A. A. Edrees
Chairman

Irfan Siddiqui
President & Chief Executive

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Director

Tariq Mahmood Pasha
Director

Syed Imran Ali Shah
Chief Financial Officer

NOTES TO AND FORMING PART OF THE CONDENSED INTERIM CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED) FOR THE QUARTER ENDED MARCH 31, 2025

1 BASIS OF PRESENTATION

- 1.1** These condensed interim consolidated financial statements include the unaudited financial statements of Meezan Bank Limited (MBL) (the holding company), Al-Meezan Investment Management Limited (subsidiary) and Meezan Exchange Company (Private) Limited (subsidiary) collectively referred as the 'Group' and associates namely, Al-Meezan Mutual Fund, Meezan Islamic Fund, Meezan Islamic Income Fund, Meezan Sovereign Fund, KSE Meezan Index Fund, Meezan Balanced Fund, Meezan GOKP Pension Fund-Debt Sub Fund, Meezan GOKP Pension Fund-Equity Index Sub Fund, Meezan Gold Fund, Meezan Cash Fund, Meezan Rozana Amdani Fund, Meezan Pakistan Exchange Traded Fund, Meezan Tahaffuz Pension Fund-Equity, Meezan Tahaffuz Pension Fund-Gold Sub Fund, Meezan Rozana Amdani Fund and Meezan GOKP Pension Fund.
- 1.2** These condensed interim consolidated financial statements has been prepared in accordance with the requirements of International Accounting Standard (IAS) 34 'Interim Financial Reporting'.
- 1.3** These condensed interim consolidated financial statements comprise of the statement of financial position as at March 31, 2025 and the profit and loss account, statement of comprehensive income, statement of changes in equity and the cash flow statement for the period ended March 31, 2025.

1.4 BASIS OF MEASUREMENT

These condensed interim consolidated financial statements have been prepared under the historical cost convention, except for certain non banking assets acquired in satisfaction of claims which are stated at revalued amounts, investment classified at fair value through profit or loss and fair value through other comprehensive income, commitments in respect of certain foreign exchange contracts which are measured at fair value, staff retirement benefits and compensated absences which are carried at present value.

1.5 Functional and presentation currency

Items included in these condensed interim consolidated financial statements are measured using the currency of the primary economic environment in which the Group operates. These condensed interim consolidated financial statements are presented in Pakistani Rupees, which is the Group's functional and presentation currency.

1.6 Rounding off

Figures have been rounded off to the nearest thousand rupees unless otherwise stated.

2 ACCOUNTING POLICIES

- 2.1** The accounting policies and the methods of computation adopted in the preparation of these condensed interim consolidated financial statements are the same as those applied in the preparation of the Group for the year ended December 31, 2024.

3 DATE OF AUTHORISATION

These condensed interim consolidated financial statements were authorized for issue on April 21, 2025 by the Board of Directors of the Holding company.



Meezan Bank
The Premier Islamic Bank

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